



100 *Years*
1907 - 2007

Celebrating a century of excellence in Kenya

**ANNUAL REVIEW
&
FINANCIAL STATEMENTS 2006**

2006 Annual Review and Financial Statements

Table of Contents

	Page
Financial Highlights	3
The Board of Directors	4
Directors' Profiles	5
Notice of the Annual General Meeting	6
Chairman's Review	7
Managing Director's Review	11
Top Management Team	14
Management Review	
Supply Chain	15
Manufacturing	16
Leaf Operations	17
Marketing Activities	20
Corporate & Regulatory Affairs	22
Corporate Governance	23
Shareholding Structure	25
Corporate Information	26
Directors' Report & Financial Statements	32
Your notes	58-60
Proxy Form	61

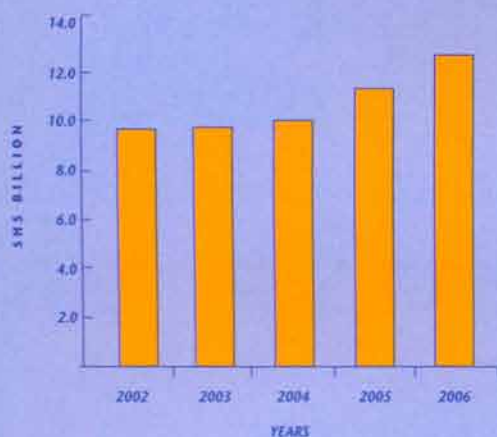


Celebrating a century of excellence in Kenya



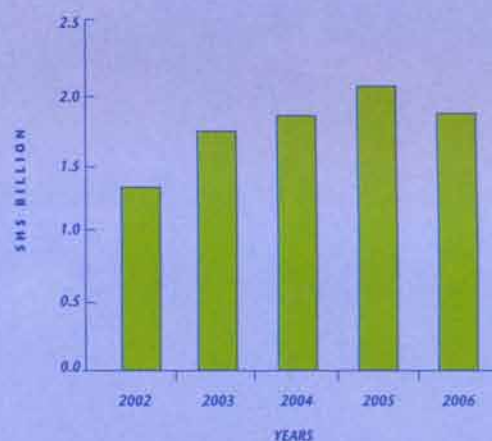
Financial Highlights

GROSS TURNOVER



→ Gross turnover increased by 12% to ShS 12.7 billion.

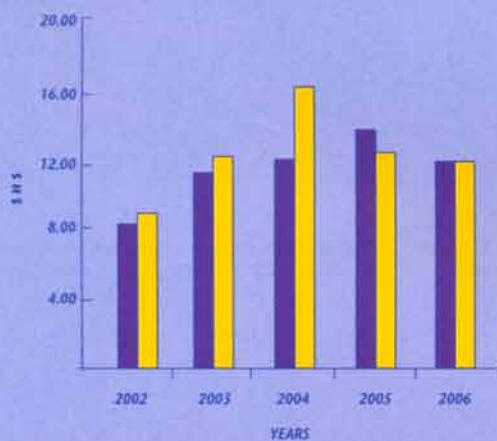
PROFIT BEFORE INCOME TAX



→ Profit before income tax decreased by 13% to ShS 1.7 billion.

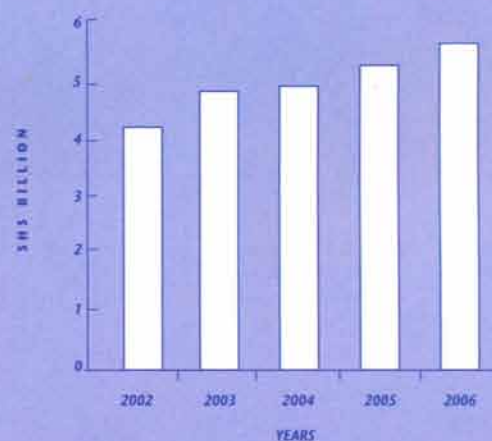
EARNINGS / DIVIDEND PER SHARE

■ EPS ■ DPS



→ Dividend payout ratio increased from 90% to 100%.

CONTRIBUTION TO GOVERNMENT REVENUE



→ Contribution to government revenue increased by 5% to ShS 5.6 billion.

The Board of Directors



1 **Mr. N. Maistre**
Managing Director

2 **Mr. E. Mwaniki**
Chairman

3 **Mr. L. Senra**
Finance Director



4 **Mr. M.M. Wanyolke**
Non-Executive
Director

5 **Mr. G. R. May**
Non-Executive
Director

6 **Mr. J. D. Pike**
Non-Executive
Director



7 **Mr. H.M. Mule**
Non-Executive
Director

8 **Ms. J. W. Michuki**
Non-Executive
Director

9 **Mr. A. N. Ngugi**
Non-Executive
Director



10 **Mr. D. Keli Kilu**
Corporate &
Regulatory
Affairs Director

11 **Ms. R. T. Ngobi**
Company Secretary

12 **Prof. J.H. Kimura**
Non-Executive
Director

Directors' Profiles

Mr. N. Maistre (age 44)
Managing Director

Appointed to the Board in December 2006. He previously worked as the Managing Director, BAT Levant and Yemen. He has held various positions in British American Tobacco Group where he has worked for the last 15 years, having joined the Group from Rothmans International.

Mr. E. Mwaniki (age 68)
Non-Executive Chairman

Appointed to the Board as Non-Executive Director of the Company in April 1995. He has been the Non-Executive Chairman of the Company since November 1995. He has vast business knowledge and worked for several blue-chip companies both locally and internationally. He currently sits on the Boards of East African Breweries Limited, East African Packaging Industries Limited, Lion of Kenya Insurance Company Limited and Kenya Airways Limited.

Mr. L. Senra (age 33)
Finance Director

Appointed to the Board in July 2006. He previously worked as Strategic and Finance Planning Manager for Souza Cruz, a BAT subsidiary. He has held several positions in the finance department in British American Tobacco Group, having joined the Group as a Management Trainee.

Mr. M.M. Wanyoike (age 57)
Non-Executive Director

Appointed to the Board in January 2001. He worked in different roles within the Company in Kenya and the East African Region, culminating in his appointment as Human Resources Director. Upon retiring from full time employment with the Company in December 2000, he took up Human Relations Consultancy.

Mr. G.R. May (age 64)
Non-Executive Director

Appointed to the Board in September 2005. He has a rich accounting background and is a Fellow of the Institute of Chartered Accountants in England and Wales. He has worked in various countries and has a long history of 37 years with PricewaterhouseCoopers. He is currently the Regional Representative of the Eastern Africa Association.

Mr. H.M. Mule (age 70)
Non-Executive Director

Appointed to the Board in July 2001. He is an experienced development economist and policy analyst. He has worked in various capacities in government and the private sector, serving for many years as Permanent Secretary in the Ministry of Finance. He has provided consultancy services to the World Bank and the African Development Bank. He is currently the Chancellor of Kenyatta University and a Non-Executive Director of Standard Chartered Bank Limited.

Ms. J.W. Michuki (age 51)
Non-Executive Director

Appointed to the Board in July 2005. She is an advocate and has extensive experience in gender and human rights development. She is a gender consultant and founder member of the Federation of Kenya Women Lawyers (FIDA-K). She is also the Chairperson of the Institute for Education in Democracy.

Mr. A. N. Ngugi (age 69)
Non-Executive Director

Appointed to the Board in April 2000. He has over 30 years experience in the corporate sector, having worked in various organisations in Kenya. He is a former CEO of Kenya Association of Manufacturers and former Chairman of BOC Kenya Limited. He is currently serving as Chairman of the Kenya Anti-Corruption Commission Advisory Board.

Mr. D. Keli Kiilu (age 51)
Corporate & Regulatory Affairs Director

Appointed to the Board in July 2002. He has held several roles in the corporate and regulatory affairs department. He is a Director at the Kenya Association of Manufacturers and the East African Business Council. He is the Vice-Patron of the Agricultural Society of Kenya (ASK) as well as the Chairman of ASK's Life Governors. He has 24 years of experience with British American Tobacco Kenya Limited.

Prof. J.H. Kimura (age 62)
Non-Executive Director

Appointed to the Board in July 2001. He is an accountant by profession and is currently the Chairman for Higher Education Loans Board. He is a member of the Board of Directors of UAP Provincial Insurance Company Limited, Development Bank of Kenya Limited, Chairman of Phoenix Publishers Limited and Ndakaini Dam Environmental Conservation Association.

Mr. J. D. Pike (age 52)
Non-Executive Director

Appointed to the Board in November 2005. He has a long and distinguished career with British American Tobacco Group and was previously the Managing Director of British American Tobacco, Pakistan. He is currently the Area Director, British American Tobacco Sub-Saharan Africa Area Limited based in Nairobi.

Mr. L. Morales (age 42)
Non-Executive Director
*(*resigned on 20th March 2007)*

Appointed to the Board in March 2005. He has worked in various roles in British American Tobacco Group and was previously the Head of Finance for Levant and Yemen before taking on his current role as Finance Director, British American Tobacco Sub-Saharan Africa Area Limited, based in Nairobi.

Notice of the 2007 Annual General Meeting

NOTICE IS HEREBY GIVEN that the Fifty-Fifth Annual General Meeting of British American Tobacco Kenya Limited will be held in the Ballroom, Hotel Inter-Continental, Nairobi, on Thursday 3rd May 2007, at 11.00 a.m. for the following purposes:-

Ordinary Business

1. To receive, consider and if approved, adopt the Company's audited financial statements for the year ended 31st December 2006, together with the reports of the Chairman, Directors' and Auditors' thereon.
2. To declare a dividend.
3. To elect Directors:
 - (i) Mr. Leonardo Senra who was appointed by the Board on 20th July 2006, retires in accordance with Article 95 of the Articles of Association, and being eligible, offers himself for re-election.
 - (ii) Mr. Nicolas Maistre who was appointed by the Board on 7th December 2006, retires in accordance with Article 95 of the Articles of Association, and being eligible, offers himself for re-election.
 - (iii) Mr. Michael Wanyoike and Prof. Joseph Kimura retire by rotation' and being eligible, offer themselves for re-election in accordance with Article 89 of the Articles of Association.
 - (iv) Messrs Evanson Mwaniki and Allan Ngugi retire in accordance with Article 98 (b), and being eligible, offer themselves for re-election.
 - (v) Messrs Harris Mule and Keli Kiilu retire from the Board in accordance with Article 98(2), and do not offer themselves for re-election.
4. To authorise the Directors to fix the remuneration of the Auditors, PricewaterhouseCoopers.

Special Business

5. In order to align the Articles of Association with the Companies Act, Cap 486: to consider and if thought fit, to pass the following resolutions which shall be proposed as Special Resolutions:-
 - (i) THAT Article 98 (1) (a) of the Company's Articles of Association be amended by deleting reference to age of 65 years and inserting 70 years of age so that Articles 98 (1) (a) shall read as follows:

"Subject to the provisions of paragraph (1) of this Article, no person shall be capable of being appointed a Director if, at the time of his appointment, he has attained 70 years of age"

- (ii) THAT Article 98 (1) (b) of the Company's Articles of Association be amended by deleting any reference to age 65 years and inserting 70 years of age so that Articles 98 (1) (b) shall read as follows:
"A Director shall vacate his office at the conclusion of the Annual General Meeting commencing next after his attainment of 70 years of age"
- (iii) THAT Article 98 (1) (d) of the Company's Articles of Association be amended by deleting any reference to age of 65 and inserting 70 years of age so that the Articles 98 (1) (d) shall read as follows:
"A Director appointed or re-elected after attaining 70 years of age under the provisions of sub-paragraph (c) of this paragraph shall retire from office at the conclusion of the next following Annual General Meeting but nothing in this paragraph shall prevent his re-appointment with the approval of the Company in Annual General Meeting."
- (iv) That any reference to 65 years of age in the Company's Memorandum and Articles of Association be amended accordingly to reflect 70 years of age.

By Order of the Board

R T Ngobi (Ms.)
Company Secretary
P. O Box 30000-00100
Likoni Road
Nairobi

20 March 2007

NOTES:

1. Any Member who is entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in his stead. Such proxy need not be a member of the Company.
2. A proxy form is provided with this report. Shareholders who do not propose to be at the Annual General Meeting are requested to complete and return the form to the Registered Office of the Company so as to arrive not later than 2:30 p.m. on Wednesday 2nd May 2007.



Gross turnover increased by 12% to Shs 12.7 billion compared to Shs 11.2 billion in 2005.

Evanson Mwaniki
Chairman

Chairman's Review/ Taarifa ya Mwenyekiti

Operating environment

The Kenyan economy survived the severe drought in the first half of 2006 owing to the above average short rains in the second half of 2006. In agriculture, tea output declined by 7% compared to 2005, while coffee and horticulture registered modest growth. Other key sectors like tourism, manufacturing, transport, communications, building and construction enjoyed robust growth.

Despite capacity constraints facing the tourism sector, international tourist arrivals and the total revenue registered double digit growth rates of around 15% and 20% respectively. The manufacturing sector benefited from improved tax incentives and low crude oil prices in the second half of the year. Building and construction remained strong as evidenced by the increase of 10% in cement consumption. In transport and communications, new vehicle registrations grew by over 12%, while the telecommunications sector registered robust growth as mobile telephony providers lowered tariffs.

During the year, the Kenya Shilling appreciated by 3.9% against the US Dollar, but weakened by 9.3% and 7.0% against the Sterling Pound and the Euro respectively. Average overall annual inflation rose from 7.6% at the beginning of the year to a high of 19.1% before closing at 15.6%. However, underlying inflation remained below the Central Bank of Kenya's target of 5%.

Interest rates exhibited a downward trend with the 91 days Treasury Bill rate falling from 8.1% at the beginning of the year to 5.8% at the end of the year. The low interest rate environment helped to boost activity in the stock market.

Overall, the rate of economic growth in 2006 is estimated to have been close to 6.0%.

Tobacco Industry

In 2006, the tobacco industry was faced with the most daunting challenges yet; these were in areas of regulation. In May, the Ministry of Health published, without consultations with industry stakeholders, Legal Notice No. 44, prescribing severely restrictive regulatory measures on the size of health warnings and punitive measures to prohibit smoking in public places.

These measures caused interruptions to the business as anxious stakeholders raised concerns about modalities of implementation. Industry players sought and obtained from the Court a Stay Order on the implementation of Legal Notice No. 44, whilst also seeking dialogue with the Ministry of Health on the kind of regulation that would achieve the desired objectives.

In June 2006, the Government gazetted amendments to the Finance Bill, thereby necessitating an increase in prices of some of our brands. Unfortunately, the Bill was reversed in-part in November. This reversal gave competition significant price advantage which exerted pressure on our volumes. The Company continues to engage the Government in seeking ways of levelling the playing field for all players.

Two versions of the Tobacco Control Bill were tabled in Parliament in November, one by the Ministry of Health and the other, sponsored by a Member of Parliament as a private members Bill. However, the Government Bill which took precedence over the Private Member's Bill, lapsed with the adjournment of Parliament in December 2006, before the debate was concluded. The Ministry of Health is expected to table the Bill again in 2007.

Illicit Trade

Illicit trade continued, with duty-not-paid cigarettes finding their way into the domestic market. Diverting untaxed "for-export" products back to the domestic market at lower retail prices not only undermines legitimate trade but also denies Government huge amounts of revenue. British American Tobacco Kenya will continue working with law enforcement agencies to combat this trade.

Performance

Our Company's domestic volume sales in 2006 remained at the same level as in 2005, affected largely by the adverse operating environment explained above. However, contract manufacture of cigarettes for export to the regional markets grew by 114% above 2005, as the Nairobi factory moved towards realising its full capacity following the completion of the Shs 1.2 billion investment in the latest state-of-the-art machinery.

Dunhill, launched in the fourth quarter of 2005, was followed by Pall Mall, in the first quarter of 2006, as part of our strategy to focus on Global Drive Brands. Initiatives were undertaken to support these brands as well as our traditional range to deliver volumes and the right brand mix.

Results

Gross turnover increased by 12% to Shs 12.7 billion, compared to Shs 11.2 billion in 2005. However, pre-tax profit at Shs 1.75 billion was 12.5% below 2005, mainly driven by the additional cost related to factory expansion, social spend in support of community projects and the investment behind our brands. Profit after tax stood at Shs 1.2 billion, compared to Shs 1.4 billion in 2005, whilst contribution to Government revenue in excise, corporation tax and value added tax increased by 5% to Shs 5.6 billion.

Social Responsibility

The Company continued to support the community through various social and economic development programmes across the country. In response to the nationwide appeal to help famine stricken members of the community, the Company donated Shs 15 million which was channelled through the Kenya Red Cross for the provision of relief food and water to affected communities.

In contributing to economic development and empowerment, the Company continued to support the Jua Kali sector under the auspices of the East African Community. The 8th East African Jua Kali Exhibition was held in Dar es Salaam, Tanzania in December 2006, attracting nearly five hundred exhibitors from Kenya, Uganda, Rwanda and Tanzania. The success of the exhibitions, year on year, is an indicator of the great impact that support to this informal sector, has on the economic development of East Africa.

Social Reporting

The stakeholder engagement process was concluded with consultative dialogue sessions which covered our operations in Kenya, Uganda and Rwanda. Mid this year, we will publish one report that combines stakeholders' views and our responses from the three countries, making history as the first cluster in the Group to publish one Social Report. The stakeholder discussions covered a wide range of topics, including our positions on tobacco growing, wealth creation, public smoking, Corporate Social Responsibility and economic role played by the Company.

Dividend

Despite the comparatively lower profit after tax, the Directors recommend a final dividend of Shs 7.50 per Shs 10 ordinary share. When added to the interim dividend already paid out, this final dividend brings the total dividend to Shs 12 per share. The dividend payment is subject to Withholding Tax and will be paid on 3 May 2007, to the shareholders on the share register at the close of business on 21 March 2007.

Outlook

Buoyed by increased investor confidence in the ongoing recovery, growth in the tourism sector, agriculture, transport, communications, manufacturing and the construction industries, as well as the ongoing prudent management of the economy, the rate of economic growth is expected to pick momentum towards a double-digit figure in the next few years. With 2007 being an election year, heightened political activity is anticipated as the race for Presidential and Parliamentary seats heats up. However, this is not expected to have an adverse impact on the economy. All indications are that it will be business as usual before and after the General Elections. With the robust growth of the economy

continuing in 2007, the prospects for our company remain promising. In the domestic market, we will continue to proactively engage the Government and other stakeholders, to promote balanced tobacco regulation that takes cognisance of diverse interests of society, whilst advocating for tolerance and accommodation of divergent views of both smokers and non-smokers.

We will also assist government in combating illicit trade, while seeking to streamline the excise regime with a view to further levelling the playing field. Having completed the Shs 1.2 billion investment in expansion and modernization of the Nairobi factory, we will now be in a position to fully exploit the great growth opportunities in the export and contract manufacture markets, to increase the volume contribution of these markets to well over 60% already achieved in 2006. These and other initiatives discussed in further detail in the Managing Directors' report, promise a great future for our company.

New Directors

I would like to welcome to the Board of British American Tobacco Kenya Limited, the new Managing Director, Mr. Nicolas Maistre, who joined in December 2006. Nicolas replaces Mr. Simon Welford who moved on to West Africa to take up the role of General Manager, British American Tobacco, Nigeria Area.

Nicolas has served in various capacities in the Group for the last fifteen years, most recently as General Manager of Levant and Yemen. He worked with Rothmans International before joining British American Tobacco, following the merger in 1999.

Mr. Leonardo Senra also joined the Board in July 2006 from Souza Cruz in Brazil, as Finance Director, replacing Mr. Philip Lopokoiyit who was posted to Nigeria mid- last year as the Finance Director.

I wish to thank Mr. Harris Mule, who retires from the Board, for his exemplary contribution to the business, drawn from his illustrious career as an economist and public policy consultant.

I would also like to thank Mr. David Keli Kiilu, who retires from the Board and the Company as Executive Director, Corporate and Regulatory Affairs, after 24 years of dedicated service.

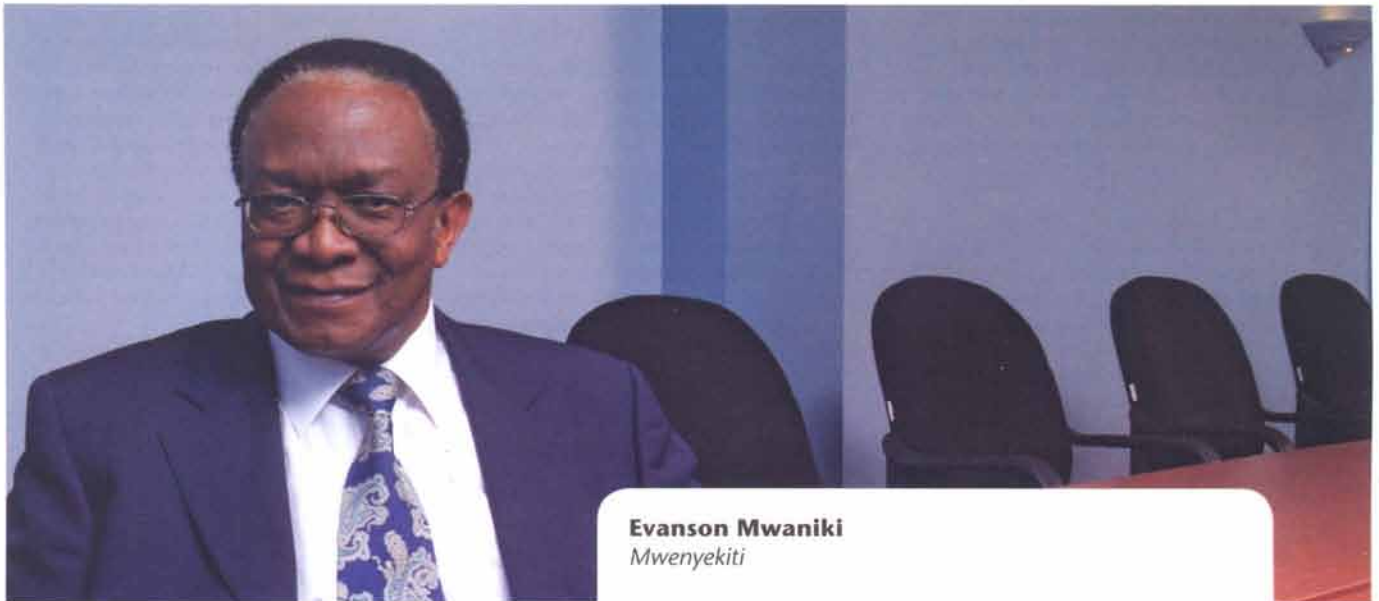
Finally, I wish to thank the Board of Directors, top management team, employees and business partners for the good performance recorded in 2006, amidst all the challenges we faced in the business.

We are grateful to you all for your contribution and support and we look forward to greater prosperity in 2007.

Thank you.

Evanson Mwaniki
Chairman





Evanson Mwaniki
Mwenyekiti

Taarifa ya Mwenyekiti

Mazingira ya utekelezaji kazi

Uchumi wa Kenya ulinusurika kipindi kirefu cha ukame katika nusu ya kwanza ya mwaka 2006, kufuatia mvua za vuli katika nusu ya pili ya mwaka. Katika sekta ya kilimo, uzalishaji majani chai ulipungua kwa asilimia 7 ikilinganishwa na mwaka 2005, ilhali uzalishaji wa kahawa na bidhaa za mboga na matunda uliongezeka kiasi. Sekta nyingine kama vile utalii, utengenezaji bidhaa, uchukuzi, mawasiliano, ujenzi na ukarabati zilizurahia ukuaji mkubwa.

Licha ya matatizo mbali mbali yanayoikabili sekta ya utalii, watalii wa kigeni waliwasili nchini na jumla ya mapato iliongezeka maradufu kwa viwango vya asilimia 15 na asilimia 20 mtawalia. Sekta ya utengenezaji bidhaa ilinufaika kutokana na kuimarika kwa vishawishi vya ushuru na bei za chini za mafuta ambayo hayajasafishwa katika nusu ya pili ya mwaka. Shughuli za ujenzi na ukarabati ziliendelea kuwa thabiti kama ilivyoshuhudiwa kwa ongezeko la asilimia 10 katika matumizi ya saruji.

Katika sekta ya uchukuzi na mawasiliano, usajili wa magari mapya uliongezeka kwa zaidi ya asilimia 12, ilhali sekta ya mawasiliano ilipata ongezeko kubwa huku kampuni ya utoaji huduma za simu za rununu zikipunguza ushuru wao.

Katika mwaka huo, Shilingi ya Kenya iliongeza thamani kwa asilimia 3.9 dhidi ya Dola ya Marekani, lakini ikapungua thamani kwa asilimia 9.3 na asilimia 7 dhidi ya Pauni ya Uingereza na Euro mtawalia. Kiwango wastani kwa ujumla cha kila mwaka cha gharama ya maisha kilipanda kutoka asilimia 7.6 mwanzo wa mwaka huo hadi kufikia kiwango cha juu cha asilimia 19.1, kabla ya mwaka kumalizika kwa kiwango cha asilimia

15.6. Hata hivyo, kiwango hicho cha gharama ya maisha kiliendelea kuwa chini ya lengo lililokusudiwa na Benki Kuu nchini la kiwango cha asilimia 5.

Viwango vya riba viliendelea kupungua huku kiwango cha siku 91 cha uuzaji wa hati za dhamana kikipungua kutoka asilimia 8.1 mwanzo wa mwaka huo hadi kufikia asilimia 5.8 kufikia mwisho wa mwaka. Mazingira, na kupungua kwa viwango vya riba yalisaidia kuimarisha shughuli za biashara katika soko la hisa. Kwa ujumla, kiwango cha ukuaji wa kiuchumi katika mwaka 2006 kinatarajiwa kufunga mwaka kwa asilimia 6.

Sekta ya Tumbaku

Mnamo mwaka 2006, sekta ya tumbaku ilikabiliwa na majukumu magumu mno.

Majukumu haya ni katika sehemu za utekelezaji sheria. Mnamo mwezi Mei, Wizara ya Afya ilichapisha bila kushauriana na washika dau wa sekta hii, Ilani ya Sheria nambari 44, ikielezea hatua kali za kisheria kuhusu kiwango cha onyo la afya na hatua za kinidhamu zinazokataza uvutaji sigara katika sehemu za umma.

Hatua hizi zilisababisha kutatizwa kwa biashara huku washika dau wakielezea wasi wasi kuhusu njia za utekelezaji wa sheria hiyo. Sekta hiyo iliweza kupata Agizo la Mahakama la Kuzuia kutekelezwa kwa sheria hiyo, huku pia ikitafuta kufanya mashauriano na Wizara kuhusu aina ya sheria itakayofikia malengo yaliyoniwa. Mnamo mwezi Juni mwaka 2006, Serikali ilichapisha kwenye Gazeti Rasmi la Serikali marekebisho ya Mswada wa Ushuru, hatua iliyosaidia kuongezwa kwa bei za bidhaa zetu za aina mbali

mbali. Kwa bahati mbaya, mswada huo ulifanyiwa marekebisho sehemu fulani mwezi Novemba. Marekebisho hayo yalitoa mashindano muhimu ya bei, hali iliyosababisha shinikizo la viwango vya bidhaa. Kampuni iliendelea kushauriana na Serikali katika kutafuta njia za kubuni masharti sawa ya utekelezaji shughuli za kazi kwa washiriki wa sekta hiyo.

Mswada miwili tofauti ya Uthibiti wa Tumbaku iliwasilishwa Bungeni mwezi Novemba na Wizara ya Afya, na mwingine ukidhaminiwa na Mbunge kama Mswada wa Kibinafsi wa Wabunge. Hata hivyo, Mswada wa Serikali ulitangulia Mswada mingine, huku Bunge nalo likaahirishwa mwezi Desemba kabla ya mjadala huo kukamilika. Wizara inatarajiwa kuwasilisha Mswada tena mwaka 2007.

Biashara Haramu

Biashara haramu iliendelea huku sigara zisizolipiwa ushuru zikiingizwa kwenye soko la humu nchini. Kuelekeza bidhaa zilizoniwa kuuzwa ng'ambo zisizolipiwa ushuru na kuingizwa katika soko la humu nchini kwa bei ya chini ya reja reja hakukuhujumu tu biashara, bali pia kuliinyima Serikali kiwango kikubwa cha mapato. Kampuni ya British American Tobacco Kenya itaendelea kushirikiana na mashirika yote ya kudumisha sheria kukabiliana na biashara hii haramu.

Uuzaji

Kiwango cha uuzaji wa bidhaa humu nchini cha Kampuni yetu katika mwaka 2006 kiliendelea kuwa hicho hicho sawa na mwaka 2005, kikiathiriwa hasa na mazingira magumu ya utekelezaji kazi yaliyotajwa hapo juu. Hata hivyo, kandarasi ya utengenezaji sigara kwa uuzaji katika nchi za ng'ambo kwenye masoko ya kimataifa ziliongezeka hadi

kufikia asilimia 114 kupita mwaka 2005, kwani kiwanda cha Nairobi kiliweza kutengeneza kiwango chake kamili cha bidhaa kufuatia kukamilishwa kwa uwekezaji wa shilingi bilioni 1.2, kuweka mitambo ya kisasa kabisa ya utekelezaji kazi.

Bidhaa ya sigara aina ya Dunhill iliyoanzishwa kwenye robo ya nne ya mwaka 2005, ilifuatiwa na bidhaa ya sigara aina ya Pall Mall kwenye robo ya kwanza ya mwaka 2006, kama sehemu ya mbinu yetu ya kuzingatia utengenezaji bidhaa zinazopendwa duniani. Juhudi zilifanywa kuunga mkono aina za bidhaa hizi na vile vile bidha zetu nyingine za kawaida ili kuwasilisha viwango vikubwa vya bidhaa na kuwa mchanganyiko ufaao wa bidhaa zetu.

Matokeo

Pato la jumla liliongezeka kwa asilimia 12 hadi kufikia shilingi bilioni 12.7, ikilinganishwa na shilingi bilioni 11.2 mwaka wa 2005. Hata hivyo, faida kabla ya kutozwa ushuru ilikuwa shilingi bilioni 1.75, sawa na asilimia 12.5 chini ya mwaka 2005, na kudhihirisha gharama ya uwekezaji kwenye mashine za viwandani, kusaidia miradi ya kijamii na kuwekeza huduma na bidhaa yetu. Faida baada ya kutozwa ushuru ilifikia shilingi bilioni 1.2 ikilinganishwa na shilingi bilioni 1.4 mwaka wa 2005, ilhali mchango wetu kwa mapato ya Serikali katika ushuru wa forodha, kodi ya Kampuni na kodi ziada ya thamani ya VAT iliongezeka hadi kufikia asilimia 5 sawa na shilingi bilioni 5.6.

Jukumu la Kampuni kwa Jamii

Kampuni iliendelea kuisaidia jamii kupitia miradi mbali mbali katika maendeleo ya kijamii na kiuchumi kote nchini.

Katika kujibu wito wa Taifa wa kuwasaidia wananchi wa jamii mbali mbali walioathiriwa na njaa, Kampuni ilitoa shilingi milioni 15 zilizotolewa kupitia Chama cha Msalaba Mwekundu cha Kenya kwa ununuzi wa chakula cha msaada na maji kwa jamii zilizoathiriwa. Katika kuchangia maendeleo ya kiuchumi na kuwapa watu uwezo, Kampuni iliendelea kudhamini sekta ya Jua Kali chini ya usimamizi wa Jumuiya ya Afrika Mashariki.

Maonyesho ya 8 ya Jua kali ya Afrika Mashariki yalifanywa mjini Dar es Salaam, Tanzania mwezi Desemba mwaka 2006, yaliyovutia waonyeshaji bidhaa mia tano kutoka Kenya, Uganda, Rwanda na Tanzania. Kufaulu kwa maonyesho hayo ni dhihirisho la umuhimu mkubwa wa msaada tunaotoa kwa sekta hiyo ya Jua Kali na maendeleo ya kiuchumi ya Afrika Mashariki.

Jukumu la kutoa Habari

Mpango wa kuhusisha washika dau ulikamilishwa kwa vikao vya mashauriano vilivyohusu shughuli zetu hapa Kenya, Uganda na Rwanda. Kati kati ya mwaka huu, tutachapisha taarifa moja inayojumuisha maoni ya washika dau na majibu yetu kutoka nchi hizi tatu, na kufanya historia kama muungano wa kwanza katika kundi hili kuchapisha ripoti ya pamoja ya kijamii. Mashauriano ya washika dau yalikusisha maswala mbali mbali ukiwemo msimamo wetu katika ukuzaji tumbaku, kubuni utajiri, uvutaji sigara hadharani, jukumu la Kampuni kwa jamii na jukumu la kiuchumi linalotekelezwa na Kampuni.

Mgao wa Faida

Licha ya kupungua kwa faida baada ya kutozwa ushuru, Wakurugenzi walipendekeza mgao wa mwisho wa faida wa shilingi 7.50 kwa kila hisa Shilingi 10 za kawaida. Mgao huu ukiongezewa mgao wa muda wa faida ulioliipwa tayari, mgao wa mwisho wa faida utafikisha jumla ya shilingi 12 kwa kila hisa. Malipo ya mgao wa faida ni baada ya kulipa kodi ya Kampuni hapo tarehe 3 Mei 2007, kwa wenye hisa kwa kiwango cha hisa kilichoko wakati wa kufunga biashara hii tarehe 21 Machi 2007.

Mtazamo

Kufuatia ongezeko la imani ya wawekezaji kwenye mpango unaoendelea wa ufufuzi, ukuaji katika sekta ya utalii, kilimo, uchukuzi, mawasiliano, utengenezaji bidhaa na viwanda vya ujenzi na usimamizi mwafaka unaoendelea wa kiuchumi, kiwango cha ukuaji wa kiuchumi kinatarajiwa kupiga hatua za kufikisha maradufu kiwango cha ukuaji katika muda wa miaka michache ijayo. Huku mwaka 2007 ukiwa mwaka wa Uchaguzi Mkuu, ukiwa na shughuli nyingi za kisiasa, inatarajiwa kuwa uwanjaji Kiti cha Urais na Viti vya Ubunge utapamba moto. Hata hivyo hali haitarajiwi kuathiri uchumi. Dalili zote zaonyesha kwamba shughuli zitaendelea kama kawaida kabla na baada ya Uchaguzi Mkuu.

Huku ukuaji mkubwa wa kiuchumi ukiendelea katika mwaka 2007, matarajiyo ya Kampuni yetu yanaendelea kuwa mema. Katika soko la humu nchini, tutaendelea kuihusisha Serikali na washika dau wengine kuimarisha sheria za uwiano za tumbaku zinazozingatia maslahi mbali mbali ya jamii, huku pia ikihimiza kuweko kwa uvumilivu na kukubali maoni mbali mbali kwa wavutaji sigara na wasiovuta sigara.

Tutaisaidia Serikali kukabiliana na biashara haramu ilhali tukitafuta kuratibu ushuru wa forodha kwa lengo la kuweka kiwango sawa cha utekelezaji kazi kwa washiriki wa sekta hii. Baada ya kukamilisha uwekezaji wa

shilingi bilioni 1.2 katika upanuzi na uimarishaji wa kiwanda cha Nairobi, sasa tutaweza kutumia kikamilifu nafasi za ukuaji katika uuzaji wa bidhaa zetu katika nchi za nje na kutoa kandarasi kwa masoko ya utengenezaji bidhaa ili kuongeza mchango wa kiwango cha masoko haya kwa zaidi ya asilimia 60 iliyofikiwa mwaka 2006. Hizi na juhudi nyingine zilizoajiliwa kwa kirefu katika taarifa ya Mkurugenzi Mkuu zinatoa ahadi ya mafanikio mema kwa Kampuni yetu siku zijazo.

Wakurugenzi Wapya

Ningependa kumkaribisha Mkurugenzi Mkuu mpya, Bwana Nicolas Maistre aliyekiunga na Kampuni mwezi Desemba mwaka 2006. Nicolas anachukua mahala pa Bwana Simon Welford aliyehamishwa hadi Afrika Magharibi kuchukua wadhifa wa Maneja Mkuu wa Kampuni ya British American Tobacco, Nigeria.

Nicolas amehudumu katika ngazi mbali mbali katika kundi la kampuni hii kwa muda wa miaka 15 iliyopita hasa kama Maneja Mkuu katika Levant na Yemen. Alifanya kazi na kampuni ya Rothmans kabla ya kujiunga na kampuni ya British American Tobacco kufuatia kuungana kwa kampuni hizi mbili mwaka 1999.

Bwana Leonardo Senra pia alijiunga na Halmashauri mwaka Julai 2006 kutoka Souza Cruz huko Brazil kama Mkurugenzi wa Fedha na kuchukua mahala pa Bwana Philip Lopokoyit aliyehamishwa hadi nchini Nigeria mnamo kati kati ya mwaka uliopita kama Mkurugenzi wa Fedha.

Nina mshukuru Bwana Harris Mule aliyestaafu kutoka kwa Halmashauri kwa mchango wake wenye thamani kwa biashara yetu kutokana na taaluma yake kama mtaalamu wa kiuchumi na mshauri wa maongozi ya umma.

Pia ningependa kumshukuru Bwana David Keli Kiilu anayestaafu kutoka kwa Halmashauri na pia kama Mkurugenzi Mkuu anayesimamia Maswala ya Kampuni na Uhusiano Mwema, baada ya kuhudumu kwa miaka 24.

Mwisho, ninawashukuru Wakurugenzi wa Halmashauri, wasimamizi wakuu, wafanyikazi na washirika wa kibiashara kwa matokeo bora yaliyopatikana mwaka wa 2006, licha ya changamoto nyingi na majukumu yaliyokumba biashara hii. Tunawashukuru nyote kwa mchango wenu na msaada na tunatazamia ufanisi mkubwa mwaka wa 2007.

Asante.

Evanson Mwaniki
Mwenyekiti



Nicolas Maistre
Managing Director

Managing Director's Review

"We aspire to lead our industry through consistent and sustainable growth; we propose to channel every aspect of our operations towards optimising productivity; we continue to inspire a winning organisation through people that embody responsibility, open-mindedness and an enterprising spirit"

A year of challenge

2006 goes down in the history of British American Tobacco Kenya as a year in which the tobacco industry's and the Company's resilience was extensively challenged.

In May 2006, Legal Notice 44 was published by the Ministry of Health, prescribing restrictive regulatory measures on sizes of health warnings and punitive clauses aimed at curbing smoking in public places.

This Gazette Notice, published with no prior consultation with industry stakeholders, was to take immediate effect, leaving the industry with no realistic implementation time. The industry sought the intervention of the Court and obtained a Stay Order, providing an opportunity for tobacco manufacturers to petition the Government on sections of the Notice, which would hinder normal operations. The matter is still in Court awaiting determination on the way forward.

The Ministry of Health tabled the Tobacco Control Bill in Parliament in November 2006, for debate and eventual enactment. The Bill, which contained a raft of clauses that would have adverse impact on the industry, was published with little consultation with industry stakeholders.

Tobacco regulation has been intermittent over the last six years with no conclusive outcome to oversee industry stakeholders' operations. Concerted efforts have been made by the industry during this period, to dialogue with government over fundamental issues affecting the business. The Company supports the establishment of balanced regulation and is keen to provide input to this end. It is our hope that decisions on upcoming regulation will be all-inclusive, enforceable and will give sufficient lead time for all stakeholders to adjust to the new rules.

Similarly, the Finance Bill gazetted in June 2006 and partly reversed in November 2006, affected British

American Tobacco Kenya's brands. The Company was forced to increase prices in certain tiers thus exerting pressure on volumes. This placed the competition at a significant advantage over British American Tobacco Kenya. The Company continues to engage government in dialogue on this matter, seeking to level the field for all players involved.

Illicit trade remains a looming threat to economic growth in Kenya and the tobacco industry is no exception. Illegitimate trade costs the Government billions of shillings in lost revenue, when unethical manufacturers divert 'for export' products back into Kenya, dumping them in the domestic market at a lower retail price.

British American Tobacco Kenya has expressed its commitment to collaborate with law enforcement agencies in identifying potential loopholes and areas of improvement in combating illicit trade.

A solid foundation

The Shs 1.2 billion investment in factory expansion towards becoming a regional centre of manufacturing excellence was actualised in 2006.

Its tide of enrichment saw British American Tobacco Kenya embrace state-of-the-art technology and expertise to match, while the expansion created 100 new jobs in the company in 2005 – 2006.

Contract manufacture delivered the projected volume growth of 114% above 2005, solidifying the company's position as a regional centre of manufacturing excellence. British American Tobacco Kenya currently manufactures cigarettes for 14 markets: Kenya, Uganda, Tanzania, Malawi, Zambia, Rwanda, Mauritius, Somalia/Somaliland, Ethiopia, Eritrea, Djibouti, DR Congo, Comoros and Burundi.



The volume growth achieved in 2006 is the result of consistent and well-managed improvement of efficiencies in manufacturing processes, and the growth pattern provides assurance of sustainability.

British American Tobacco Kenya rose to the challenge of establishing new brands in the domestic market, with the introduction of Global Drive Brands Dunhill and Pall Mall, which were launched in 2005 and 2006, respectively.

The business continues to focus the energy of its trade and marketing expertise to support these latest entrants into the market.

A sustainable underlying business

The Company's profit after tax reduced by Shs 180 million compared to 2005. A spectrum of varying factors contributed to this decline in profit.

- Increased investment in marketing capacity was injected to consolidate the international brands in Kenya, for the purpose of enhancing brand distribution and availability in the market.

- Positioning Kenya as one of the Group's manufacturing centres of excellence required extensive investment in

machinery, key manufacturing processes and transfer of technology and expertise.

- Creation of 100 new jobs within the expansion plans pushed up the Company's wage bill, reflecting in the results, while the high cost of energy in Kenya significantly drove the overall cost of manufacturing higher.

In addition, for Kenya to be considered a regional manufacturing hub supplying 14 markets in the region, it is imperative that the business maintains a very cost-competitive model, compared to other potential sources in Africa.

Therefore, the margin adopted in the contract manufacturing business, seeks to realise a return on the investment in expansion, but will not be the same as the one applied to domestic cigarettes.

There is less complexity in contract manufacturing as the company is not involved in marketing the brands, negotiating trade margins and in managing marginal supporting costs versus staff, as it does for the domestic cigarette business.

Looking ahead: A year of consolidation

British American Tobacco Kenya's ultimate vision and destination is to sustain leadership of the tobacco industry in Kenya and is aligned to the Group vision to accomplish the same. Our Group strategy is supported by three pillars that have been identified as the key drivers of a winning organization.



Growth in our business will be derived from new export and contract manufacture business opportunities, as the Company continues to reclaim the domestic market for its Global Drive Brands, while expanding contract manufacture volumes for associated companies in the region.

This will be realised through sustained efforts to curb illicit trade, to reclaim market share that has been eroded by unfair trading practices by competition. However, offering value-for-money within the broad base of low market segments is still an integral part of spawning growth.

The company's approach to **Productivity** in 2007 is to focus its resources and operations on delivering value, quality of service and excellent products to the trade and consumers, as well as deriving value for shareholders.

To achieve this, the Company is adopting the most cost competitive business model, which also means reducing complexities and harnessing the advantage of centralised sourcing of materials in its core business: leaf

growing, domestic, export and contract cigarette manufacturing

Responsibility in our Company means being in touch with the issues raised by society regarding the way we conduct our business and our approach to addressing them. This ranges from social responsibility, the way we market our products to regulatory issues affecting the industry. It is our belief that regulation of the tobacco industry will provide a clear and unbiased operating framework for the business to operate.

The Company awaits the re-publishing of proposed tobacco legislation, at which time the prescribed scope and timing of implementation will provide opportunity for further analysis. Considering the precedent set in industry legislation elsewhere, it is likely that upcoming regulation will have immediate adverse impact on the industry.

In line with the pillar of Responsibility, the Group has already adopted self-regulatory measures governing brand communication, sales and distribution of our products.

Human capital management will remain one of the key drivers for British American Tobacco Kenya, through 2007, for delivering business growth targets. Developing a **Winning Organisation**, underpinned by strong talent management strategies, leadership development and a culture of innovation and enterprising spirit, at all levels, will drive and support our migration to the new business model.

As the business strives to achieve higher standards of productivity, and smarter ways of working, the Company will implement initiatives to improve the level of engagement and integration of employees within the business. This carries the promise to translate into a high-performing organisation with stronger financial results.

Thank you.

Nicolas Maistre
Managing Director

Leonardo Senra
Finance Director

Leadership Team



Nicolas Maistre
Managing Director



Ruth Ngobi
Company Secretary



Leonardo Senra
Finance Director



Keli Kiilu
Corporate &
Regulatory Affairs
Director



Dirk Eloff
Operations



Sidney Wafula
Audit



John Dowd
Marketing



Ernest le Roux
Trade Marketing



Dilip Bhatia
Information Technology



Dev Sewgobind
Human Resources

Management Review

SUPPLY CHAIN

In Supply Chain, we continued to build our capacity to satisfy the increasing demands of both our export and domestic customers in 2006. The biggest challenge during the year was integrating the increased complexity and volume coming from Uganda, Rwanda, Zambia and Malawi. Through highly efficient supply chain processes, we were able to deliver one of the most successfully managed source migrations within the BAT Group.

Our Nairobi factory is currently supplying products to 14 markets within the region and exports now comprise up to 60 % of output, up from 44% in 2005.



In 2006, significant additional export and contract volume from Uganda, Rwanda, Zambia and Malawi, was successfully incorporated into the British American Tobacco Kenya manufacturing portfolio. This was a highly complex project and has been acknowledged as one of the most successfully managed source migrations within the BAT Group.

With increasing export volumes comes greater complexity in terms of more customers, more brands, more products, more materials and more distribution routes. For the first time in British American Tobacco Kenya history, exports and contract sales were greater than the sales to our domestic customers.

The increase in sales and production volume was delivered without compromising the existing Domestic

or Export business. During the year, a Customer Service Centre was established providing communication links and rapid response to both Domestic and Export customers.

In support of the British American Tobacco Kenya growth strategy, high quality products and services were delivered to an ever-growing number of End Markets, at the right time, in the right place, at the right quality and at an optimal cost.

Despite a high workload, the commitment to training and people development remained a key priority throughout the year. Through a combination of teamwork and technical ability, a high level of customer service was maintained whilst successfully implementing SAP, a complex new

IT system and delivering the factory rationalisation project.

We continue to build our working relationship with government authorities and partner service providers' making significant progress with the revenue authorities in Kenya, Tanzania and Uganda.

We continued to embed a culture of best in class procurement processes in support of productivity improvements. With just over 50% of our raw materials being imported, the Kenya Revenue Authority's newly introduced automated clearing system presented opportunities to reduce clearance lead times and stock inventory holdings. During the year, raw materials savings in excess of USD 652,000 were realised, most of which were reinvested back in the business to drive further growth.

Management Review

MANUFACTURING

The production output for the Nairobi factory for the year 2006 was an all-time high, recording a 40% increase over the previous year.

Following the closure of British American Tobacco factories in Uganda, Rwanda and Zambia, there has been a great increase in the production demand over the last two years. Our Nairobi factory is currently supplying products to 14 markets within the region and exports now comprise up to 60 % of output, up from 44% in 2005.



A section of the Nairobi factory.



The production output for the Nairobi factory for the year 2006 was an all-time high, recording a 40% increase over the previous year.

Due to the above trends and a need to manage the product variety, it was necessary to make a substantial investment in new machinery. During the year, we embarked on a major investment program involving the acquisition of four additional production lines. We also made substantial investments in infrastructure to support the new lines and to facilitate handling of higher volumes of finished goods. The entire program which involves expenditure in excess of Shs 1.2 billion is now 80% complete, with the balance scheduled for completion during the first half of 2007.

With regard to our members of staff, we began accelerated training programs in late 2005 to cater for a large intake of new employees. These efforts are now bearing fruit and most of the employees who joined in late 2005 and early 2006 have now been integrated within factory operations. Further, as a major departure from previous practice, the factory has recently embarked on a program where certain lines will run 24 hours a day, seven days a week. This program will not only improve production output, but will also enhance asset utilisation and hence contribute to cost containment on machinery investments.



During the year, we embarked on a major investment program involving the acquisition of four additional production lines.



Management Review

LEAF OPERATIONS

Tobacco growing and processing

The year started off with serious drought across the entire country; this had a significant impact on the 2006 crop season with overall tobacco production registering a 50% reduction over the crop in 2005.

However, despite the total drop of crop production, our continuous engagement with our farmers as well as improved application of best practices helped the Company achieve 4,000 tons of crop, this being 80% of the targeted volume for the year. This crop generated revenue of over Shs 300 million for our farmers; an 8% increase in per unit terms. The main drivers for the increase in revenue were, sustained quality and improved farm gate prices. An economic survey conducted by Egerton University in 2006 showed that tobacco remains a very stable cash crop with assured returns to the farmer even in bad weather conditions.

Tobacco remains a very stable cash crop with assured returns to the farmer even in bad weather conditions.



Our efforts did not go unnoticed as the Company received The 2006 TOTAL Kenya Limited Eco-Challenge Gold Award for the 2nd year in a row in recognition of its role in promoting tree planting.



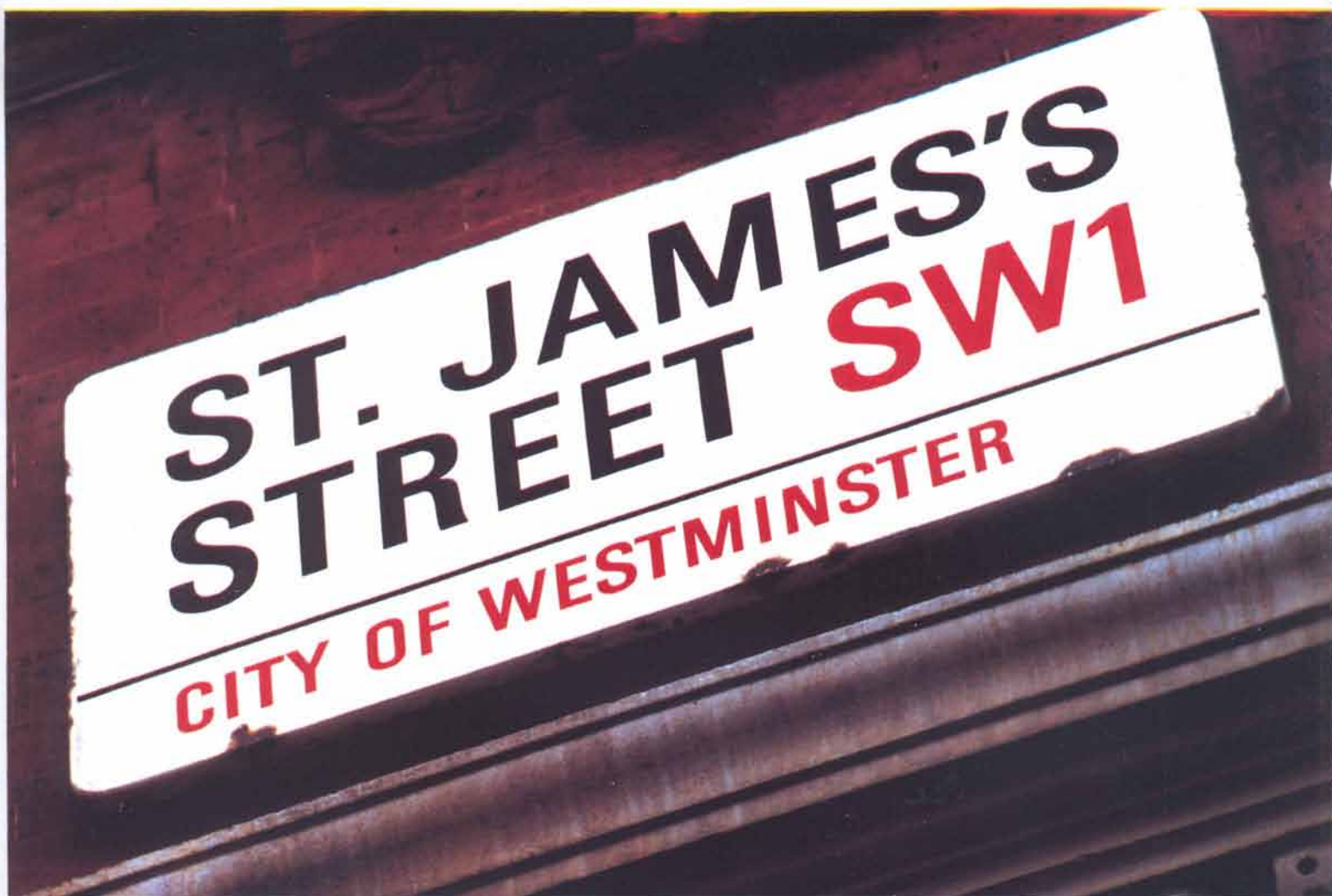
During the year, with cost control initiatives in place, the Thika Green Leaf Threshing plant's (GLT) productivity was not compromised by the reduced volumes and processed over 15,000 tons of tobacco and continued to be a major source of seasonal employment within Thika town.

During the period in review, we continued with the novel initiative of engaging contracted tree farmers in the planting of tree seedlings to support afforestation in the tobacco growing areas and wider interest groups. These contracted tree farmers raised over 4.5 million tree seedlings. Out of this number, over 2.5 million tree seedlings were issued to community based organisations, tree farmers, schools, institutions and individuals.

Our efforts did not go unnoticed as the Company received the 2006 TOTAL Kenya Limited Eco-Challenge Gold Award for the 2nd year in a row in recognition of its role in promoting tree planting.

A representative of the Company receiving The 2006 TOTAL Kenya Limited Eco-Challenge Award.



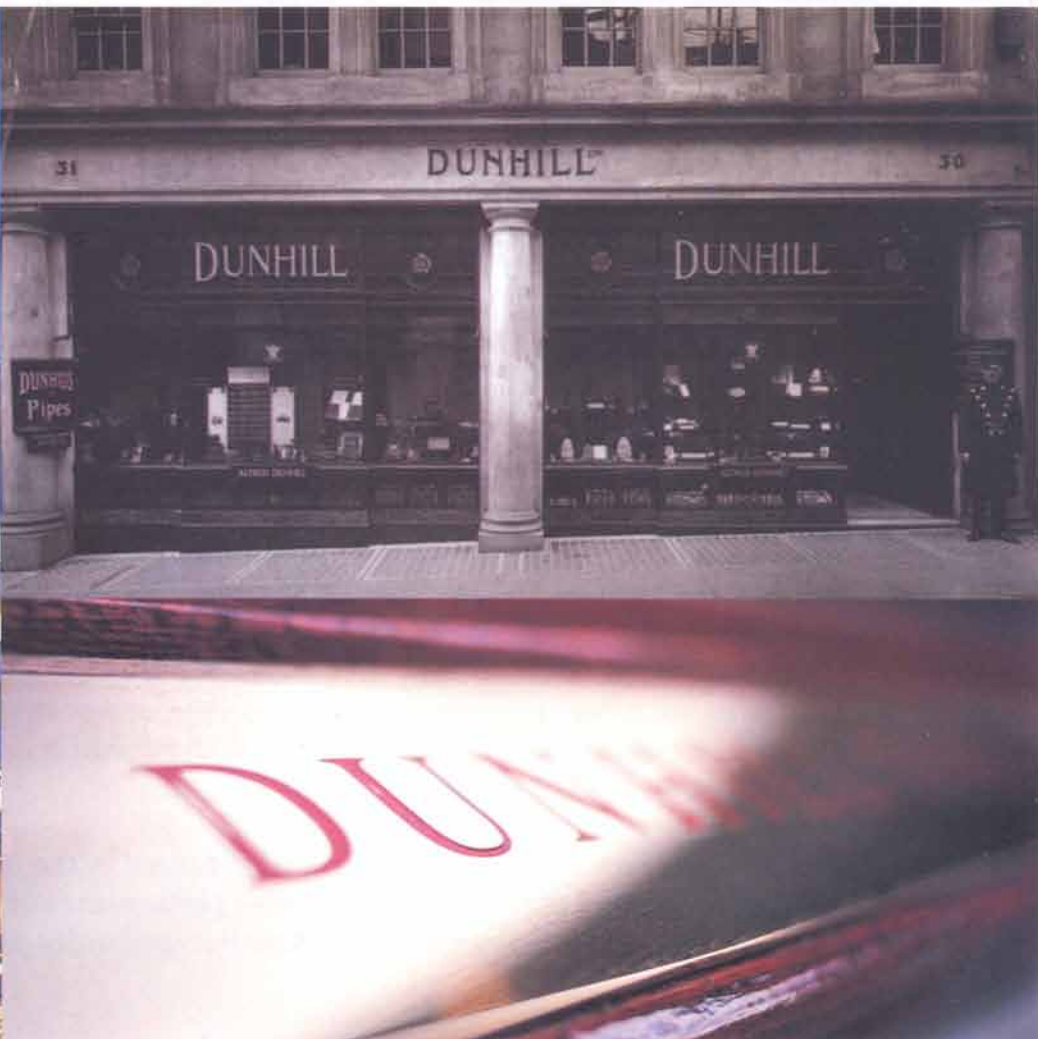


Special Feature

DUNHILL

Dunhill 100 Years Celebration

In 1907, Alfred Dunhill opened his first tobacconist shop on the site of 30 Duke Street, St. James's London. The shop soon became synonymous with the principles of customer care, attention to detail and expertise in tobacco products. From the same outlet, Dunhill sold his first cigarette in 1912 which led to a rapid growth of the business and culminated with exports to New York and Paris in the early 1920's.



In 1928, Alfred Dunhill retired and handed the business over to his son. The tradition of expertise continued and the business grew from strength to strength with further entry into new global markets. In 1974, the company was recognised for its outstanding achievements and awarded the prestigious Queen's Award for industry.

In 1981, T Dunhill was then sold to Rothmans International which heralded a new beginning for the brand. Tremendous growth soon followed, fuelled by launches into previously untapped markets in the Far East, Africa and Australia.

In 2002, the portfolio was further expanded and enhanced with the launch of Dunhill signed cigars which have been loudly applauded by cigar aficionados the world over.

Since 1907, Dunhill has created over 33,000 unique blends for its consumers around the world, and now, in 2007, the brand celebrates its Centenary – a celebration of 100 years of expertise, quality and heritage.

Dunhill is uniquely represented through a whole range of offers each bearing the Dunhill trademark stamp of quality. Each variant, whether it be King Size, Senses, Fine Cut, Essence, Top Leaf, miniatures or cigars is manufactured with the same care and attention to detail in our pursuit of perfection. It is this attention to detail that makes Dunhill unique and enables us to satisfy sophisticated and discerning smokers around the world.

Dunhill continues to be as relevant today as it was back in the 1920s and is driving the growth of the global premium segment. The brand still has a truly global foot-print with significant volumes coming from Asia (South Korea, Malaysia, and Taiwan), Africa (South Africa), Middle East (Saudi Arabia), Australia and Europe (France, UK). In 2005, Dunhill's global shipment volumes reached 30.9 billion sticks, grew its market share and posted strong qualitative improvements.

Dunhill King Size was launched in Kenya in 2005 through a selective distribution campaign and has experienced tremendous growth ending 2006 with a premium segment share of 22% against a plan of 9%. Through having the right mix for the brand, Dunhill is expected to grow year on year and establish itself as the leading premium brand in the market. As British American Tobacco Kenya celebrates 100 years of excellence, Dunhill is proud to be part of this monumental event.

Happy 100 Years Celebration.

Management Review

MARKETING ACTIVITIES

Brands

During 2006, our focus was on defending our volume gains from the previous year and in line with our Global Marketing Strategy we began strengthening our portfolio for the future through the roll-out of our Global Drive Brands - Dunhill and Pall Mall.

Domestic volumes were broadly in line with those achieved in 2005 despite excise driven price increases being taken on key brands and the enduring drought at the beginning of the year which constrained consumer disposable income.

Despite these factors, an improvement was realized in the brand mix as a result of the overall upturn in the economic performance of the country coupled with our focussed marketing activities supporting the higher value brands.

Dunhill

Consumer acceptance for Dunhill, launched at the end of 2005, has been extremely encouraging with the brand showing strong appeal amongst high end consumers, which has driven growth of the premium cigarette segment. In June, a menthol variant was launched to augment the range.

Distribution was initially restricted to key urban areas focussing primarily on premium retail outlets, which enabled us to align the consumer profile with that of the brand. Expansion of the distribution foot-print along with continued investment in building consumer awareness will ensure continued growth in 2007 and Dunhill is now well poised to become our number one Premium Brand in Kenya.





MINISTRY OF HEALTH WARNING: CIGARETTE SMOKING IS HARMFUL TO YOUR HEALTH
ONYO LA WIZARA YA AFYA: UVUTAJI WA SIGARA UNADHURU AFYA YAKO



In line with our Global Marketing Strategy, we aggressively commenced the roll-out of our Global Drive Brands - Dunhill and Pall Mall, in Kenya.

Pall Mall

Pall Mall was launched in February with a full variant range of Full Flavour, Lights and Menthol. During the year, emphasis was placed on building distribution, consumer awareness of the brand assets and garnering trade support. Qualitative indicators are very positive and the keys to ensuring further success and delivering critical mass will be improving availability and making the brand more accessible to mainstream consumers through a broader range of offers.

Sportsman

Sportsman continued to come under attack from lower priced competitive offers, yet performed admirably to hold its market share position. The key drivers behind this success were distribution initiatives which broadened brand availability and the National Consumer Promotion 'Vuna Chapaa na Sportsman' which attracted an unprecedented eight million entries and helped drive volumes in the last quarter of the year.

Safari

A further success story was that of Safari, our price fighter brand in the highly

competitive low segment. Despite aggressive competition from both duty paid and illicit brands, Safari managed to marginally grow volume versus 2005, selling once again in excess of 1 billion sticks. The significant investment made in rural distribution, visibility and trade support being critical factors behind the success.

Distribution Reinforcement

Key to our defence of market share in 2006 was our close relationship with the trade. During the year, we worked in partnership with our distributors and Strategic Retail Accounts to improve both product availability and quality at the point of sale. This included continued investment in training and development of both our own and our distribution partners' field forces to improve their capability to maximise sales.

To ensure optimal distribution was achieved, a bonus scheme for our Distributors and Key Stockists was implemented. This made sure that extra efforts were appropriately rewarded against achievement of set targets. Significant investment was made in

creating new points of sale through deployment of Kiosks and Hawker Trolleys to ensure improved availability to consumers. A further 600 bicycles were also deployed to improve servicing of Retail Traders during the course of the year.

Market Outlook

In 2007, we will look to build on the solid foundations laid down in 2006, by firmly establishing a more modern and international portfolio, spearheaded by our Global Drive Brands - Dunhill and Pall Mall. This will mean significant investment behind these brands along with our current volume drivers - Sportsman and Safari, which will continue to be our key fighters against both legal and illicit competition.

The result of this investment along with the expected improvement in the underlying economic conditions will deliver both volume and value share growth in 2007 and beyond.

Management Review

CORPORATE & REGULATORY AFFAIRS

In 2006, the Company invested in various community support programmes in line with the Group's Corporate Social Responsibility guidelines. These programmes are our contribution to addressing specific social and economic needs in society, in order to empower the people and sustain community development.

Famine Relief

Following the drought that ravaged the country in late 2005 and early 2006, the Company responded to the appeal for the National Famine Relief Fund by donating Shs 15 million, to provide relief assistance to communities affected by the resulting famine.

H.E. President Mwai Kibaki received the Company's contribution at State House, Nairobi.

The donation was administered through the Kenya Red Cross Society, who procured 200 metric tonnes of relief food for distribution to ten of the hardest-hit districts in North Eastern, Rift Valley and Eastern provinces. The food was distributed by Kenya Red Cross in conjunction with British American Tobacco Kenya employees and members of the Board. A portion of the funds was set aside for construction of boreholes in some of the affected areas, as a long term intervention to the problem.

East African Jua Kali Exhibition

In support of the Small and Micro Enterprises (Jua Kali) sector, the Company sponsored the 8th East African Jua Kali Exhibition held in Dar es Salaam, Tanzania. British American Tobacco donated Shs 6 million in organising the exhibition, in conjunction with the East African Community. These exhibitions continue to provide a platform from which players in the sector market their products, share ideas, new technology and innovations, while engaging one another to broaden their scope for business opportunity in East Africa and European markets.

Agricultural Society of Kenya

Last year, British American Tobacco Kenya, a prominent corporate member of the Agricultural Society of Kenya (ASK), made various donations to the Society, including infrastructural maintenance of gates, pavilions and botanical parks in Nakuru, Kisumu, and Nairobi. The Company sponsored the refurbishment of the Council Members' Pavilion at the Mombasa ASK showground, which was officially opened by the Patron of the ASK, H.E. President Mwai Kibaki.

Social Reporting

The Company commenced the second cycle of the Social Reporting process in 2006, following the inaugural Social Report published by British American Tobacco Kenya in 2004. The process involves listening and responding to stakeholders' concerns on the Company's operations. British American Tobacco adopted Social Reporting to embed the principles of Corporate Social Responsibility (CSR) within the Group, to continue improving management decision-making by being more sensitive to changing expectations in society. The Social Reporting process has been consolidated to embrace the East African Community, incorporating Kenya, Uganda, Rwanda and Tanzania. Management team members held three dialogue meetings with stakeholders, during which they gathered views on the Company's operations. The dialogues highlighted areas for improvement, areas needing complete change and those in which stakeholders encouraged continuity. Stakeholders also made recommendations for strengthening of partnerships for mutual benefit. The report on the process will be published and circulated in 2007, capturing the stakeholders' views from the East African Region.

Public Place Smoking

A key success in 2006 was the signing of a Partnership Charter between the Kenya Association of Hotelkeepers and Caterers (KAHC) and British American Tobacco Kenya. The document forms the basis on which the two parties will work together to encourage the hospitality industry to create smoking and non-smoking areas. The Charter comes in the wake of recent proposals by the Ministry of Health to ban smoking in public places, and seeks to address the issue of accommodating smokers and non-smokers in hotels, restaurants, cafeterias and other entertainment spots.



H.E. President Mwai Kibaki receiving the Company's donation of Shs 15 million towards the National Famine Relief Fund.

In 2006, the Company invested in various community support programmes in line with the Group's Corporate Social Responsibility guidelines.



H.E. President Mwai Kibaki opening the refurbished Members' Pavilion at the Mombasa ASK showground.

Management Review

CORPORATE GOVERNANCE



A stakeholder gives his views during the Social Reporting dialogue session in Nairobi.

Corporate Governance

We at British American Tobacco Kenya place great importance on robust corporate governance practices and we are committed to applying the highest standards of business integrity and professionalism in all our activities. We not only adhere to governance principals stipulated by the local regulators but also to the British American Tobacco Group's internal corporate governance guidelines, which are directed towards enhancing the performance of the Company's business, to the benefit of its shareholders, employees, business partners and other stakeholders.

The organisation and structure of the Company is intended to ensure that decisions are made at the most appropriate management level for the efficient conduct of business, while at the same time maintaining a sound basis for the accountability of the Directors of the Company to its shareholders.

The Company is managed under the direction of the Board of Directors, which oversees corporate governance and is also responsible for the overall system of internal control for the Company, thereby managing risks that may impede the achievement of the Company's business objectives. Responsibility for implementing strategy and day-to-day operations has been

delegated by the Board to the Managing Director and the top management team.

Composition of the Board of Directors

The Board consists of a majority of Non-Executive Directors, including the Chairman; they are free from any business or other engagements that could materially affect or interfere with or appear to affect or interfere with the exercise of their judgement.

They are appointed for a period of two years; subsequent reappointment is subject to endorsement by the Board and the approval of shareholders at an AGM in the usual manner.

Evaluation of Board Performance

Every year, the Board conducts a critical evaluation of its performance for the preceding year. This evaluation is done by each Director completing a Board Effectiveness evaluation form. The information is then collated by the Company Secretary and presented to the Nominations Committee with a view to improving on identified weak areas.

Standards of Business Conduct

These are a set of guidelines intended to provide a reference point for corporate conduct and behaviour for all employees of the Company. The Standards of

Business Conduct address various issues such as conflicts of interest, competition law, insider trading, money laundering and other illegal acts and therefore act as a point of reference to employees in making sound decisions. All Non-Executive Directors and employees of the Company are required in each year to confirm compliance with the Standards of Business Conduct and/or declare areas of possible non-compliance.

The Company has within its Standards of Business Conduct, a whistle blowing procedure; this is a formal procedure by which staff can, in confidence, raise concerns about possible improprieties in financial and other matters. The procedure incorporates arrangements for the proportionate and independent investigation of matters raised and for appropriate follow-up action.

Board Committees

Committees are established to assist the Board in the performance of its duties. There are four standing committees:-

The Nominations Committee

The role of the Nominations Committee is to make recommendations to the Board on suitable candidates for appointment to the Board, whilst ensuring that the Board has an appropriate balance of expertise and

ensuring that the Board has an appropriate balance of expertise and ability. The Nominations Committee also evaluates and makes recommendations with regard to the composition of all Board Committees. In so doing, it monitors and ensures that appropriate, Non-Executive and Executive Directors ratios are maintained. This Committee is also charged with the responsibility of evaluating and reporting to the Board on an annual basis, the effectiveness of the Board and effectiveness of the Directors in the discharge of their responsibilities. The Nominations Committee is chaired by the Board Chairman.

The Audit Committee

The role of the Audit Committee is to monitor the integrity of Company's financial statements and review and if appropriate, make recommendations to the Board on business risks, internal controls and compliance. The Committee meets three times a year with internal and external auditors, as well as with management. The Audit Committee is chaired by Prof. J.H. Kimura.

The British American Tobacco Group, has distinguished itself as a dynamic and responsible corporate citizen.

The Corporate Social Responsibility Committee

The role of the Corporate Social Responsibility Committee is to keep under review and make appropriate recommendations to the Board as regards the Company's management of Corporate Social Responsibility and the Conduct of Business in accordance with the Statement of Business Principles. This includes the responsibility of identifying and assessing the risks that might impair the Company's strategic objective of being recognised as a responsible company in a controversial industry. It is chaired by Ms. Jane W. Michuki.

Remuneration Committee

The role of the Remuneration Committee is to determine the Company's remuneration policy for employees, management and Non-Executive Directors. It is chaired by Mr. Michael M. Wanyoike.

Provident Funds

The two British American Tobacco Provident Funds are under the stewardship of a joint Board of Trustees. Chaired by Non-Executive Director, Mr. Michael M. Wanyoike, the Board of Trustees includes representatives of employees and management as well as Executive and Non-Executive Directors. Both funds are compliant with the requirements of the Retirement Benefits Act.

Corporate Citizenship

British American Tobacco Kenya has adopted a structured approach to environmental, health and safety management in compliance with the Group's best practice from all global operations.

The company supports numerous social responsibility initiatives in Kenya, including providing support to the Jua Kali sector, the Agricultural Society of Kenya and afforestation.

Employees

British American Tobacco Kenya actively encourages dialogue and participation in the Company's business through regular team briefs, internal publications, employee surveys and regular meetings with employees and their representatives. The Company is an equal opportunity employer and recruits people on the basis of their ability without discrimination.

Communication with Shareholders

British American Tobacco Kenya is committed to ensuring that shareholders and the financial markets are provided with full and timely information about its performance. This is achieved through the release of its interim, half-year, as well as annual results in the local press, distribution of annual reports, holding of an investor briefing at least once a year and availing of information on the Company's website; www.batkenya.com



Kenya Revenue Authority commendation awarded to the Company by the Commissioner General in 2006.

Shareholding Structure

Top 10 Shareholders as at 20th March 2007

	A/c No.	Name	Shares	%
1	9000361	Molenssteegh Invest BV	60,000,000	60.00
2	387200 & 665258	Board of Trustees National Social Security Fund	16,261,558	16.26
3	469696	Old Mutual Insurance Company Limited	1,077,734	1.07
4	701	Barclays (Kenya) Nominees Limited A/c 1256	897,000	0.89
5	1651	Barclays (Kenya) Nominees Limited A/c 1853	800,032	0.80
6	1350811	The Jubilee Insurance Company of Kenya Limited	766,415	0.76
7	212792	Kenya Commercial Bank Nominees Limited A/c 744	699,206	0.69
8	12068	Kenya Commercial Bank Nominees Limited A/c 769G	500,200	0.50
9	149047	Insurance Company of East Africa Limited - Pooled	439,978	0.44
10	2364	Barclays (Kenya) Nominees Limited A/c 9230	427,072	0.42
	Various	Other Shareholders (5,029)	18,130,805	18.17
5,039		Total	100,000,000	100.00

Summary of Shareholders as at 20th March 2007

Institutional	Shareholders	Shares	% Holding
Kenyan	502	31,979,326	31.98
Foreign	4	60,387,301	60.39
East African	3	14,714	0.01
Individual			
Kenyan	4,455	7,323,870	7.32
Foreign	56	251,275	0.25
East African	19	43,514	0.05
Total	5,039	100,000,000	100.00

Distribution of Shareholders as at 20th March 2007

Shares Range	Shareholders	Shares	% Holding
1 to 500	2,201	616,791	0.62
501 to 5,000	2,358	3,856,446	3.86
5,001 to 10,000	211	1,541,182	1.54
10,001 to 100,000	227	5,758,383	5.77
100,001 to 1,000,000	39	10,887,906	10.89
Above 1,000,001	3	77,339,292	77.33
Total	5,039	100,000,000	100.00

Corporate Information

Board of Directors

Mr. E Mwaniki*	(Chairman)
Mr. N Maistre	(Managing Director)
Mr. L Senra	(Finance Director)
Mr. D K Kiilu	(Corporate & Regulatory Affairs Director)
Mr. J D Pike*	
Mr. L Morales*	
Mr. M M Wanyoike*	
Mr. A N Ngugi*	
Prof. J H Kimura*	
Mr. H M Mule*	
Ms. J W Michuki*	
Mr. G R May*	

Audit Committee

Prof. J H Kimura*	(Chairman)
Mr. H M Mule*	
Mr. G R May*	
Mr. L Morales*	permanent invitee
Mr. J D Pike*	permanent invitee
Mr. N Maistre	permanent invitee
Mr. S Mugwe	permanent invitee
Mr. L Senra	permanent invitee
Ms. R T Ngobi	permanent invitee
Mr. E Mwaniki*	by invitation
Mr. S Wafula	(Secretary)

Nominations Committee

Mr. E Mwaniki*	(Chairman)
Mr. A Ngugi*	
Mr. J D Pike*	
Mr. N Maistre	
Ms. R T Ngobi	(Secretary)

Remunerations Committee

Mr. M M Wanyoike*	(Chairman)
Mr. E Mwaniki*	
Mr. J D Pike*	
Mr. L Morales*	
Ms. J W Michuki*	
Mr. N Maistre	permanent invitee
Mr. D Sewgobind	(Secretary)

Corporate Social Responsibility Committee

Ms. J W Michuki*	(Chairman)
Mr. M M Wanyoike*	
Mr. N Maistre	permanent invitee
Mr. C Achola	permanent invitee
Mr. S Mugwe	permanent invitee
Mr. D K Kiilu	(Secretary)

*Non-Executive Directors

Auditors

PricewaterhouseCoopers,
The Rahimtulla Tower, Upper Hill Road
P.O. Box 43693-00100,
NAIROBI

Transfer Agents

Custody & Registrar Services Limited,
Bank House, Moi Avenue
P.O. Box 8484-00100,
NAIROBI

Advocates

Kaplan & Stratton,
Williamson House,
4th Ngong Avenue
P.O. Box 40111-00100,
NAIROBI

Bankers

Barclays Bank of Kenya Limited
Bank of Africa Kenya Limited
Citibank N.A.
Commercial Bank of Africa Limited
Kenya Commercial Bank Limited
Stanbic Bank Kenya Limited
Standard Chartered Bank Kenya Limited

Secretary and Registered Office

R.T. Ngobi (Ms.),
Likoni Road
P.O. Box 30000-00100,
NAIROBI
Telephone: 6942000



Contract manufacture of cigarettes for export to the regional markets grew by 114% above 2005 as the Nairobi factory moved towards realising its full capacity following the completion of the Shs 1.2 billion investment in the latest start-of-the-art machinery.

100 Years & Still
Going Strong!!

Christine Ethangatta
Group Brand Manager

Happy 100th
Birthday to
BAT Kenya.

Jeremy Pike
Area Director,
Sub Saharan Africa

A 'Century' offering Superior
Choices to our Consumers
& still very impressive...

Charles Kyalo
Factory Engineer

We're 100 years young +
Still growing!

Dirk Eloff
General Manager
Operations,
Sub Saharan Africa

100 yrs and still going
strong!

James Apamo
Laboratory Manager



Celebrating a century of excellence in Kenya

One great century
of success and the
future is even brighter!

Alison Kariuki
Legal Manager

Wow, What a Feat!
Rejoicing a Century of
adventure, resilience, great
achievements & fun!
Enjoy!

Keli Kiilu
CORA Director

It's great to be part
of a 100 year
successful story!

Leonardo Senra
Finance Director

Here begins
the next 100!

Maureen Sande
Internal Communications Manager

100 already?!?!?
Bring on some more!!

Sidney Wafula
Audit Manager,
East Africa



Celebrating a century of excellence in Kenya

It's been a great 100 years
and we look forward to the next
100!

Crispin Achola
Enterprise Project Office Manager,
Sub-Saharan Africa

BAT
Proud
Contributor
Economic
Our Country

Alan N. Ngugi
Non-Executive Director

A full century of exemplary
contribution to the Kenyan
economy! Congratulations!!

Mwaniki
BAT Kenya

Hongera Bat
Kwa Kutimiza m
Tuendelee Kung'ara
Imara Daima!

Eric Kiniti
Trade Policy Manager

Looking forward to
fun-filled and
inspiring 100 yrs!!

Executive

A successful first 100
years, and surely a
second to follow!

Gayling May
Non-Executive Director



Celebrating a cent...

HAS BEEN FUN FOR A 100 YEARS,
SET TO BE FUN FOR A 100 MORE!

Ernest Le Roux
Trade Marketing & Distribution Manager

Don't we look very
young for 100 years?

Nicolas Maistre
Managing Director

Miaka Mia Moja
ni dhihivisho Kwamba
Mipango yetu ya Uwekezaji
imefaulu vilivyo

Musyoki Kivindyo
CSR Manager

BRAVO B.A.T FOR RUNNING
THIS BUSSINESS FOR THE
LAST 100 YEARS. LETS KEEP
THE SPIRIT GOING FOR THE NEXT
100.

Quintoos Ilebun
Senior Mech Technician

BAT Kenya
Milele?

Ruth Ngobi
Company Secretary



Celebrating a century of excellence in Kenya

Directors' Report & Financial Statements

Table of Contents	page
Directors' Report	33
Statement of Directors' Responsibilities	34
Report of the Independent Auditors	35
Financial Statements:	
Consolidated profit and loss account	36
Consolidated balance sheet	37
Company balance sheet	38
Consolidated statement of changes in equity	39
Company statement of changes in equity	40
Consolidated cash flow statement	41
Note Notes:	
1 General information	42
2 Summary of significant accounting policies:	
(a) Basis of preparation	42
(b) Consolidation	42
(c) Revenue recognition	43
(d) Functional currency and translation of foreign currencies	43
(e) Segment reporting	43
(f) Property, plant and equipment	44
(g) Intangible assets	44
(h) Accounting for leases	44
(i) Inventories	44
(j) Receivables	45
(k) Income tax	45
(l) Cash and cash equivalents	45
(m) Employee benefits	45
(n) Dividends	46
(o) Investment in subsidiaries	46
(p) Borrowings	46
(q) Restructuring provisions	46
(r) Comparatives	46
3 Financial risk management	46
4 Critical accounting estimates and judgements	47
5 Segment reporting	47
6 Revenues	47
7 Cost of operations	47
8 Operating profit	47
9 Employee benefits expense	48
10 Finance (costs)/income	48
11 Income tax expense	48
12 Dividends	49
13 Earnings per share	49
14 Share capital	49
15 Revaluation surplus	49
16 Unfunded retirement benefits obligation	50
17 Deferred income tax	50
18 Property, plant and equipment	52
19 Intangible assets	53
20 Prepaid operating lease rentals	53
21 Inventories	54
22 Receivables and prepayments	54
23 Payables and accrued expenses	54
24 Other provisions for liabilities and charges	54
25 Borrowings	55
26 Cash and cash equivalents	55
27 Contingent liabilities	55
28 Cash generated from operations	56
29 Related party disclosures	56
30 Investment in subsidiaries	57
31 Capital commitments	57

Directors' Report

The Directors submit their report together with the audited financial statements for the year ended 31 December 2006, which disclose the state of affairs of the Group and of the Company.

Principal activities

The principal activities of the Group are the manufacture and sale of cigarettes and tobacco.

Results and dividends

The net profit for the year of Shs 1,201,422,000 has been added to retained earnings. During the year, an interim dividend of Shs 450,000,000 (2005: Shs 800,000,000) was paid. The Directors recommend the approval of a final dividend of Shs 750,000,000 (2005: Shs 450,000,000).

Board of Directors

The following changes have taken place in the Board of Directors since the last

Annual General Meeting:

Mr. P. Lopokoiyit resigned from the Board on 20th July 2006. Mr L. Senra was appointed to the Board on 20th July 2006 in accordance with Article 95 of the Articles of Association.

Mr. S. Welford resigned from the Board on 1st November 2006. Mr N. Maistre was appointed to the Board on 7th December 2006 in accordance with Article 95 of the Articles of Association.

In accordance with Article 95 of the Articles of Association, Mr. L. Senra and Mr. N. Maistre retire from the Board at the Annual General Meeting and, being eligible, offer themselves for re-election.

In accordance with Article 89 of the Articles of Association, Prof. J. Kimura and Mr. M. M. Wanyoike retire from the Board by rotation at the Annual General Meeting and, being eligible, offer themselves for re-election.

Messrs E. Mwaniki and A. Ngugi resign in accordance with Article 98(b) of the Articles of Association and, being

eligible, offer themselves for re-election.

Messrs H. Mule and K. Kiilu resign in accordance with Article 98(2) of the Articles of Association and do not offer themselves for re-election.

Auditors

The Company's auditors, PricewaterhouseCoopers, have expressed their interest to continue in office in accordance with section 159(2) of the Companies Act.

By Order of the Board

R T. Ngobi (Ms.)
Company Secretary

20 March 2007

Ripoti ya Wakurugenzi

Wakurugenzi wanatoa Ripoti yao na hesabu za fedha zilizokaguliwa kwa mwaka uliomalizika 31 Desemba 2006.

Shughuli muhimu za Kundi la makampuni

Shughuli muhimu za Kundi la makampuni ni utengenezaji na uuzaji wa sigara na tumbaku.

Faida iliyopatikana

Faida ya mwaka wa kiasi cha Shs 1,201,422,000 imeongezewa ili kuendeleza mapato. Katika mwaka tunaozungumzia, jumla ya mgawo wa muda uliolipwa ni kiasi cha Shs 450,000,000 (2005: Shs 800,000,000). Wakurugenzi wanapendekeza kupitishwa kwa mgawo wa mwisho wa kiasi cha Shs 750,000,000 (2005: Shs 450,000,000).

Halmashauri ya Wakurugenzi

Tangu Mkutano Mkuu wa Mwaka jana, mabadiliko yafuatayo yametokea katika

Halmashauri ya Wakurugenzi:

Bw. P. Lopokoiyit alijiuzulu tarehe 20 Julai 2006, naye Bw. L. Senra aliteuliwa tarehe 20 Julai 2006, kwa mujibu wa Kifungu 95 cha Katiba ya Kampuni

Kwa mujibu wa Kifungu 95 cha Katiba ya Kampuni, Bw. S. Welford alijiuzulu tarehe 1 Novemba 2006, naye Bw. N. Maistre aliteuliwa tarehe 7 Desemba 2006.

Kwa mujibu wa Kifungu 95 cha Katiba ya Kampuni, Bw. N. Maistre na Bw. L. Senra wastaafu kwa zamu katika Mkutano Mkuu wa Mwaka, na kwa vile wanastahili, wanajitolea kuchaguliwa tena.

Kwa mujibu wa Kifungu 89 cha Katiba ya Kampuni, Prof. J. H. Kimura na Bw. M. M. Wanyoike wastaafu kwa zamu katika Mkutano Mkuu wa Mwaka, na kwa vile wanastahili, wanajitolea kuchaguliwa tena.

Kwa mujibu wa Kifungu 98(b) cha Katiba ya Kampuni, Mabw. E. Mwaniki na A. Ngugi wastaafu kwa zamu katika Mkutano Mkuu wa Mwaka, na kwa vile

wanastahili, wanajitolea kuchaguliwa tena.

Kwa mujibu wa Kifungu 98(2) cha Katiba ya Kampuni, Mabw. H. Mule na K. Kiilu wastaafu kwa zamu katika Mkutano Mkuu wa Mwaka na, hawajitolei kuchaguliwa tena.

Wakaguzi wa Hesabu

PricewaterhouseCoopers wataendelea na ukaguzi wa vitabu kwa mujibu wa Kifungu 159(2) cha Sheria za Makampuni.

Kwa Amri ya Halmashauri

R T. Ngobi (Ms.)
Katibu wa Kampuni

20 March 2007

Statement of Directors' Responsibilities

The Companies Act requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and of the Company as at the end of the financial year and of the Group's profit or loss. It also requires the Directors to ensure that the Company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Company. They are also responsible for safeguarding the assets of the Company.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in accordance with International Financial Reporting Standards and the requirements of the Companies Act. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and of the Company and of the Group's profit in accordance with International Financial Reporting Standards. The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement.

Nothing has come to the attention of the Directors to indicate that the Company and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

N. Maistre
Managing Director

L. Senra
Finance Director

20 March 2007

Report of the Independent Auditors

Report of the Independent Auditors to the members of British American Tobacco Kenya Limited

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of British American Tobacco Kenya Limited (the company) and its subsidiaries (together, the group), as set out on pages 34 to 55. These financial statements comprise the consolidated balance sheet as at 31 December 2006 and the consolidated profit and loss account, statement of changes in equity and cash flow statement for the year then ended, together with the balance sheet of the company standing alone as at 31 December 2006 and the statement of changes in equity of the company for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of the financial affairs of the group and of the company at 31 December 2006 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

The Kenyan Companies Act requires that in carrying out our audit, we consider and report to you on the following matters. We confirm that:

- i) we have obtained all the information and explanations, which, to the best of our knowledge and belief, were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books;
- iii) the company's balance sheet is in agreement with the books of account.

PricewaterhouseCoopers
Certified Public Accountants
Nairobi

20 March 2007

Consolidated Profit & Loss Account

FOR THE YEAR ENDED 31 DECEMBER 2006

	Notes	2006 Shs'000	2005 Shs'000
Gross turnover		12,669,489	11,263,628
Excise duty and value added tax		(5,045,016)	(4,696,644)
Revenue	6	7,624,473	6,566,984
Other operating income		44,383	75,531
Cost of operations	7	(5,859,894)	(4,583,649)
Operating profit	8	1,808,962	2,058,866
Net finance cost	10	(62,436)	(49,895)
Profit before income tax		1,746,526	2,008,971
Income tax expense	11	(545,104)	(626,933)
Profit for the year		1,201,422	1,382,038
Earnings per share			
Basic and diluted earnings per share (Shs)	13	12.01	13.82
Dividends			
Interim dividends – paid in the year	12	450,000	800,000
Proposed final dividend for the year	12	750,000	450,000
Total dividends		1,200,000	1,250,000

Consolidated Balance Sheet

AT 31 DECEMBER 2006

	Notes	2006 Shs'000	2005 Shs'000
Capital and reserves attributable to the Company's equity holders			
Share capital	14	1,000,000	1,000,000
Share premium		23	23
Revaluation surplus	15	733,204	756,515
Retained earnings		1,711,258	1,686,525
Proposed dividends	12	750,000	450,000
Total equity		4,194,485	3,893,063
Non-current liabilities			
Retirement benefits obligation	16	92,911	100,122
Deferred income tax liabilities	17	668,048	561,327
Total non-current liabilities		760,959	661,449
Total equity and non-current liabilities		4,955,444	4,554,512
Non-current assets			
Property, plant and equipment	18	3,972,185	3,698,385
Intangible assets	19	237,884	-
Prepaid operating lease rentals	20	208	211
Total non-current assets		4,210,277	3,698,596
Current assets			
Inventories	21	1,793,477	1,474,067
Receivables and prepayments	22	1,195,666	819,525
Current income tax		82,659	-
Cash and bank balances	26	493,962	254,253
Total current assets		3,565,764	2,547,845
Current liabilities			
Payables and accrued expenses	23	1,899,253	924,145
Other provisions for liabilities and charges	24	512,618	469,809
Current income tax		-	90,205
Borrowings	25	408,726	207,770
Total current liabilities		2,820,597	1,691,929
Net current assets		745,167	855,916
Total assets		4,955,444	4,554,512

The financial statements on pages 36 to 57 were approved for issue by the Board of Directors on 20 March 2007 and signed on its behalf by:

N. Maistre
Managing Director

L. Senra
Finance Director

Company Balance Sheet

AT 31 DECEMBER 2006

	Notes	2006 Shs'000	2005 Shs'000
Equity			
Share capital	14	1,000,000	1,000,000
Share premium		23	23
Revaluation surplus	15	733,204	756,515
Retained earnings		1,711,258	1,686,525
Proposed dividends	12	750,000	450,000
Total equity		4,194,485	3,893,063
Non-current liabilities			
Retirement benefits obligation	16	92,911	100,122
Deferred income tax liabilities	17	669,658	561,327
Total non-current liabilities		762,569	661,449
Total equity and non-current liabilities		4,957,054	4,554,512
Non-current assets			
Property, plant and equipment	18	3,972,185	3,698,385
Intangible assets	19	237,884	
Prepaid operating lease rentals	20	208	211
Investment in subsidiaries	30	12,000	12,000
Total non-current assets		4,222,277	3,710,596
Current assets			
Inventories	21	1,758,177	1,474,067
Receivables and prepayments	22	1,247,544	778,652
Current income tax		81,081	-
Cash and bank balances		311,278	66,476
Total current assets		3,398,080	2,319,195
Current liabilities			
Payables and accrued expenses	23	1,769,032	737,842
Other provisions for liabilities and charges	24	492,348	431,579
Current income tax		-	98,088
Borrowings	25	401,923	207,770
Total current liabilities		2,663,303	1,475,279
Net current assets		734,777	843,916
Total assets		4,957,054	4,554,512

The financial statements on pages 36 to 57 were approved for issue by the Board of Directors on 20 March 2007 and signed on its behalf by:

N. Maistre
Managing Director

L. Senra
Finance Director

Consolidated *Statement of Changes in Equity*

FOR THE YEAR ENDED 31 DECEMBER 2006

	Notes	Share capital Shs'000	Share premium Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
Year ended 31 December 2005							
At start of year		1,000,000	23	746,073	1,564,929	450,000	3,761,025
Adjustment for prior years' depreciation		-	-	48,216	(48,216)	-	-
Deferred tax on adjustment		-	-	(14,464)	14,464	-	-
Transfer of excess depreciation		-	-	(33,300)	33,300	-	-
Deferred tax on transfer		-	-	9,990	(9,990)	-	-
Net gains/(losses) recognised directly in equity		-	-	10,442	(10,442)	-	-
Profit for the year		-	-	-	1,382,038	-	1,382,038
Total recognised income for 2005		-	-	10,442	1,371,596	-	1,382,038
Dividends:							
- Final for 2004		-	-	-	-	(450,000)	(450,000)
- Interim for 2005	12	-	-	-	(800,000)	-	(800,000)
- Proposed final for 2005	12	-	-	-	(450,000)	450,000	-
At end of year		1,000,000	23	756,515	1,686,525	450,000	3,893,063
Year ended 31 December 2006							
At start of year		1,000,000	23	756,515	1,686,525	450,000	3,893,063
Transfer of excess depreciation		-	-	(33,301)	33,301	-	-
Deferred tax on transfer		-	-	9,990	(9,990)	-	-
Net gains/(losses) recognised directly in equity		-	-	(23,311)	23,311	-	-
Profit for the year		-	-	-	1,201,422	-	1,201,422
Total recognised income for 2006		-	-	(23,311)	1,224,733	-	1,201,422
Dividends:							
- Final for 2005		-	-	-	-	(450,000)	(450,000)
- Interim for 2006	12	-	-	-	(450,000)	-	(450,000)
- Proposed final for 2006	12	-	-	-	(750,000)	750,000	-
At end of year		1,000,000	23	733,204	1,711,258	750,000	4,194,485

Company Statement of Changes in Equity

	Notes	Share capital Shs'000	Share premium Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
Year ended 31 December 2005							
At start of year		1,000,000	23	746,073	1,564,929	450,000	3,761,025
Adjustment for prior years' depreciation		-	-	48,216	(48,216)	-	-
Deferred tax on adjustment		-	-	(14,464)	14,464	-	-
Transfer of excess depreciation		-	-	(33,300)	33,300	-	-
Deferred tax on transfer		-	-	9,990	(9,990)	-	-
Net gains/(losses) recognised directly in equity		-	-	10,442	(10,442)	-	-
Profit for the year		-	-	-	1,382,038	-	1,382,038
Total recognised income for 2005		-	-	10,442	1,371,596	-	1,382,038
Dividends:							
- Final for 2004		-	-	-	-	(450,000)	(450,000)
- Interim for 2005	12	-	-	-	(800,000)	-	(800,000)
- Proposed final for 2005	12	-	-	-	(450,000)	450,000	-
At end of year		1,000,000	23	756,515	1,686,525	450,000	3,893,063
Year ended 31 December 2006							
At start of year		1,000,000	23	756,515	1,686,525	450,000	3,893,063
Transfer of excess depreciation		-	-	(33,301)	33,301	-	-
Deferred tax on transfer		-	-	9,990	(9,990)	-	-
Net gains/(losses) recognised directly in equity		-	-	(23,311)	23,311	-	-
Profit for the year		-	-	-	1,201,422	-	1,201,422
Total recognised income for 2006		-	-	(23,311)	1,224,733	-	1,201,422
Dividends:							
- Final for 2005		-	-	-	-	(450,000)	(450,000)
- Interim for 2006	12	-	-	-	(450,000)	-	(450,000)
- Proposed final for 2006	12	-	-	-	(750,000)	750,000	-
At end of year		1,000,000	23	733,204	1,711,258	750,000	4,194,485

Consolidated Cash Flow Statement

	Notes	2006 Shs'000	2005 Shs'000
Operating activities			
Cash generated from operations	28	2,412,896	2,280,031
Interest received		1,076	2,451
Interest paid		(39,379)	(15,996)
Income tax paid		(611,247)	(381,709)
Net cash generated from operating activities		1,763,346	1,884,777
Investing activities			
Purchase of property, plant and equipment	18	(590,356)	(583,098)
Purchase of intangible assets	19	(242,945)	-
Proceeds from disposal of property, plant and equipment		8,708	23,182
Net cash used in investing activities		(824,593)	(559,916)
Financing activities			
Dividends paid		(900,000)	(1,250,000)
Net cash used in financing activities		(900,000)	(1,250,000)
Net Increase in cash and cash equivalents		38,753	74,861
Movement in cash and cash equivalents			
At start of year		46,483	(28,378)
Increase		38,753	74,861
At end of year	26	85,236	46,483

Accounting Policies & Notes to the Financial Statements

1 General information

British American Tobacco Kenya Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The address of its registered office is:

Likoni Road
P.O. Box 30000-00100,
Nairobi

The company's shares are listed on the Nairobi Stock Exchange.

2 Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The financial statements are presented in the functional currency, Kenya Shillings (Shs), rounded to the nearest thousand, and prepared under the historical cost convention as modified by the revaluation of certain property at fair values.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 4.

Adoption of new and revised standards:

In 2006, new and revised standards and interpretations became effective for the first time. The adoption of these new and revised standards and interpretations had no material effect on the company's accounting policies or disclosures.

(b) Consolidation

Subsidiaries are all entities over which the Group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date the control ceases.

The purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any minority interest. The excess of the cost of acquisition over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the income statement.

All inter-company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

Accounting Policies

CONTINUED

Summary of significant accounting policies (continued)

(c) Revenue recognition

Revenue represents the fair value of the consideration receivable for sales of goods and services, and is stated net of excise duty, value added tax (VAT), rebates and discounts and after eliminating sales within the Group. Revenue is recognised as follows:

- (i) Sales of goods are recognised in the period in which the Group delivers products to the customer, the customer has accepted the products and collectability of the related receivables is reasonably assured.
- (ii) Sales of services are recognised in the period in which the services are rendered, by reference to completion of the specific transaction assessed on the basis of the actual service provided as a proportion of the total services to be provided.
- (iii) Interest income is recognised on a time proportion basis using the effective interest method. Dividends are recognised as income in the period in which the right to receive payment is established.

(d) Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the functional currency). The consolidated financial statements are presented in Kenya Shillings, (Shs) which is the Group's functional and presentation currency.

(ii) Transactions and balances in Group entities

Foreign currency transactions are translated into the functional currency of the respective entity using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the profit and loss account.

(e) Segment reporting

A business segment is a group of assets and operations engaged in providing products or services that are subject to risks and returns that are different from those of other business segments.

A geographical segment is engaged in providing products or services within a particular economic environment that are subject to risks and returns that are different from those of segments operating in other economic environments.

Accounting Policies

CONTINUED

(f) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost and are carried at historical cost, less depreciation. Buildings and freehold land are subsequently shown at valuation, less subsequent depreciation. Valuation of land and buildings is carried out by external independent valuers at least once every five years. All other property, plant and equipment is stated at historical cost, less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in an asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the profit and loss account during the financial period in which they are incurred.

Increases in the carrying amount arising on the revaluation are credited to a revaluation surplus reserve in equity. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the profit and loss account. Each year, the difference between depreciation based on the revalued carrying amount of assets (the depreciation charged to the profit and loss account) and depreciation based on original cost is transferred from the revaluation surplus to retained earnings.

Freehold land is not depreciated. Depreciation on other assets is calculated using the straight-line method to write down their cost or revalued amounts to zero residual values over their estimated useful lives, as follows:

- Buildings: 2.5% - 10% per annum or over the period of the lease if less than 40 years
- Plant, machinery, motor vehicles and equipment: 7% - 30% per annum

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

An asset's carrying amount is written down immediately to its estimated recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation reserve relating to those assets are transferred to retained earnings.

(g) Intangible assets

Computer software

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised over their estimated useful lives (four years). Costs associated with developing or maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the Group, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Direct costs include the software development employee costs and an appropriate portion of relevant overheads. Computer software development costs recognised as assets are amortised over their estimated useful lives (four years).

(h) Accounting for leases

Leases in which a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

(i) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of finished goods and work in progress comprises raw materials, direct labour, other direct costs and related production overheads (based on normal operating capacity), but exclude interest expense. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

Accounting Policies

CONTINUED

(f) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost and are carried at historical cost, less depreciation. Buildings and freehold land are subsequently shown at valuation, less subsequent depreciation. Valuation of land and buildings is carried out by external independent valuers at least once every five years. All other property, plant and equipment is stated at historical cost, less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

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Accounting Policies

CONTINUED

(j) Receivables

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. A provision for impairment of receivables is established when there is objective evidence that the Group will not be able to collect all the amounts due according to the original terms of sale. The amount of the provision is the difference between the carrying amount and the present value of estimated future cash flows, discounted at the effective interest rate. The amount of the provision is recognised in the profit and loss account.

(k) Income tax

Income tax expense is the aggregate of the charge to the profit and loss account in respect of current income tax and deferred income tax.

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Kenya Income Tax Act.

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the balance sheet date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

(l) Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the balance sheet.

(m) Employee benefits

(i) Retirement benefits obligation

The Group operates two defined contribution retirement benefit schemes for all its employees. The assets of each scheme are held in separate funds which are administered by an independent fund manager and are funded by contributions from both the Group and employees. The Group's contributions to the schemes are charged to the profit and loss account in the year to which they relate.

The Group also operates an unfunded retirement benefit scheme to provide additional "top up" retirement benefits to management staff. The scheme operates on a defined benefit basis.

No contributions are payable to the scheme, but a provision is made in the financial statements for the estimated cost of the future benefits under the scheme. The adequacy of such provisions is confirmed periodically by an independent actuarial valuation at least once every three years.

The Group and all its employees also contribute to the National Social Security Fund (NSSF), which is a defined contribution scheme.

(ii) Other entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

Accounting Policies

CONTINUED

(n) Dividends

Dividends payable to the Group's shareholders are charged to equity and recognised as a liability in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(o) Investment in subsidiaries

Investments in subsidiaries are carried in the Company's balance sheet at cost, less provision for impairment losses. Where, in the opinion of the directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

On disposal of an investment, the difference between the net disposal proceeds and the carrying amount is charged or credited to the profit and loss account.

(p) Borrowings

Borrowings are recognised initially at fair value; net of transaction costs incurred. Borrowings are subsequently stated at amortised cost using the effective interest method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the profit and loss account over the period of the borrowings.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the balance sheet date.

(q) Restructuring provisions

Restructuring provisions mainly comprise employee termination payments and are recognised in the period in which the Group becomes legally or constructively committed to payment. Employee termination benefits are recognised only after either an agreement is in place with the appropriate employee representatives specifying the terms of redundancy and numbers of employees affected, or after individual employees have been advised of the specific terms. Costs related to the ongoing activities of the Group are not provided in advance.

(r) Comparatives

Comparative figures have been adjusted to conform with changes in disclosures and presentation in the current year.

3 Financial risk management

The Group's activities expose it to a variety of financial risks, including credit risk, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance within the options available in Kenya to hedge against such risks.

Risk management is carried out by the Treasury Committee under principles and policies approved by the Board of Directors. Treasury Committee provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and investing excess liquidity. Treasury identifies, evaluates and hedges financial risks.

The Group has no significant concentrations of credit risk. It has policies in place to ensure that sales are made to customers with an appropriate credit history. The Group also has policies that limit the amount of credit exposure to any financial institution.

Notes to the Financial Statements

CONTINUED

4 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

In the process of applying the Group's accounting policies, management has made judgements in determining:

- the classification of financial assets and liabilities
- whether assets are impaired
- provisions and contingent liabilities

5 Segment reporting

There is only one business segment (manufacture and sale of cigarettes and tobacco) and one geographical segment based on the location of manufacturing site (Kenya); hence no segment information is presented.

The Group's revenues by destination are as follows:

	2006 Shs'000	2005 Shs'000
Local sales	4,842,155	4,611,735
Export sales and contract manufacture	2,782,318	1,955,249
	7,624,473	6,566,984

6 Revenues

The Group's revenues by type are as follows:

	2006 Shs'000	2005 Shs'000
Goods	7,575,813	6,495,436
Services	48,660	71,548
	7,624,473	6,566,984

7 Cost of operations

	2006 Shs'000	2005 Shs'000
Raw materials and consumables	2,862,508	2,363,783
Marketing and distribution costs	547,885	500,526
Administrative and other operating expenses	2,131,848	1,407,553
Depreciation of property, plant and equipment (Note 18)	312,589	311,783
Amortisation of intangible assets (Note 19)	5,061	
Amortisation of prepaid operating lease rentals (Note 20)	3	4
	5,859,894	4,583,649

8 Operating profit

The following items have been charged in arriving at operating profit:

	2006 Shs'000	2005 Shs'000
Employee benefits expense (Note 9)	1,238,748	966,199
Auditors' remuneration	7,000	6,100

Notes to the Financial Statements

CONTINUED

9 Employee benefits expense

The following items are included within employee benefits expense:

Retirement benefit costs:

	2006 Shs'000	2005 Shs'000
- Defined contribution scheme	44,703	34,859
- Unfunded retirement benefits obligation (Note 16)	697	9,007
- National Social Security Fund	2,241	1,288

Contributions to the National Social Security Fund are determined by local statute.

10 Finance (costs)/income

	2006 Shs'000	2005 Shs'000
Interest income	1,076	2,451
Interest expense and similar charges	(39,379)	(15,996)
Net foreign exchange losses	(24,133)	(36,350)
Net finance cost	(62,436)	(49,895)

11 Income tax expense

	2006 Shs'000	2005 Shs'000
Current income tax	438,383	580,186
Deferred income tax (Note 17)	106,721	46,747
Income tax expense	545,104	626,933

The tax on the Group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2006 Shs'000	2005 Shs'000
Profit before income tax	1,746,526	2,008,971
Tax calculated at the statutory income tax rate of 30% (2005: 30%)	523,958	602,691
Tax effect of;		
Income not subject to tax	(11,753)	(15,364)
Expenses not deductible for tax purposes	31,891	39,606
Under provision of current tax in prior years	6,347	-
Over provision of deferred tax in prior years	(5,339)	-
Income tax expense	545,104	626,933

Notes to the Financial Statements

CONTINUED

12 Dividends

At the Annual General Meeting to be held on 3 May 2007, a final dividend in respect of the year ended 31 December 2006 of Shs 7.50 per share amounting to Shs 750,000,000 is to be proposed. During the year, a first interim dividend of Shs 4.50 per share amounting to Shs 450,000,000 was paid on 8 September 2006. The total dividend for the year is therefore Shs 12.00 per share (2005: Shs 12.50) amounting to a total of Shs 1,200,000,000 (2005: Shs 1,250,000,000).

Payment of dividends is subject to withholding tax at a rate of either 5% or 10% depending on the residence of the respective shareholders.

13 Earnings per share

Basic earnings per share are calculated by dividing the profit for the year attributable to equity holders of the company by the weighted average number of ordinary shares in issue during the year.

	2006	2005
Net profit attributable to equity holders (Shs'000)	1,201,422	1,382,038
Weighted average number of ordinary shares in issue (thousands)	100,000	100,000
Basic earnings per share (Shs)	12.01	13.82

There were no potentially dilutive shares outstanding at 31 December 2006 or 2005. Diluted earnings per share are therefore the same as basic earnings per share.

14 Share capital

	Number of Shares (Thousands)	Ordinary Shares Shs'000
At 1 January 2005, 1 January 2006 and at 31 December 2006	100,000	1,000,000

The total authorised number of ordinary shares is 10,000,000 with a par value of Shs 10 per share. All issued shares are fully paid.

15 Revaluation surplus

The revaluation surplus relates to the revaluation of the Company's buildings and freehold land net of deferred income tax and is non-distributable. The movements in the revaluation surplus are set out in the consolidated and company statements of changes in equity.

Notes to the Financial Statements

CONTINUED

16 Unfunded retirement benefits obligation

The Company has an obligation to fund additional "top up" retirement benefits to its management staff in addition to their retirement benefits under the defined contribution scheme. The Company makes a provision for the additional "top up" retirement benefits costs for management staff based on the advice of independent actuaries.

An actuarial valuation of the company's obligation to fund the "top-up" retirement benefits was carried out at 31 December 2004 using the following actuarial assumptions:

Discount rate	9%
Future annual salary increase	7%
Future annual increase in contributions to provident fund	7%

The movement in the provision during the year was as follows:

	2006 Shs'000	2005 Shs'000
At start of year	100,122	92,908
Charge to profit and loss account	697	9,007
Utilised in the year	(7,908)	(1,793)
At end of year	92,911	100,122

17 Deferred income tax

Consolidated deferred income tax assets and liabilities, and the deferred income tax charge in the profit and loss account are attributable to the following items:

	1 January 2006 Shs'000	Charged/ (credited) to P&L Shs'000	31 December 2006 Shs'000
Deferred income tax liabilities			
Property, plant and equipment			
- on historical cost basis	343,844	191,967	535,811
- on revaluation surplus	324,220	(9,990)	314,230
- on unrealised exchange gains	1,702	(295)	1,407
	669,766	181,682	851,448
Deferred income tax assets			
Provisions	(108,439)	(18,733)	(127,172)
Unrealised exchange losses	-	(6,368)	(6,368)
Tax losses	-	(49,860)	(49,860)
	(108,439)	(74,961)	(183,400)
Net deferred income tax liability	561,327	106,721	668,048

Notes to the Financial Statements

CONTINUED

17 Deferred income tax (continued)

Company deferred income tax assets and liabilities are attributable to the following items:

	2006 Shs'000	2005 Shs'000
Deferred income tax liabilities		
Property, plant and equipment		
- on historical cost basis	535,811	343,844
- on revaluation surplus	314,230	324,220
- on unrealised exchange gains	1,407	1,702
	851,448	669,766
Deferred income tax assets		
Provisions	(125,562)	(108,439)
Unrealised exchange losses	(6,368)	-
Tax losses	(49,860)	-
	(181,790)	(108,439)
Net deferred income tax liability	669,658	561,327

Deferred income tax of Shs 9,990,000 (2005: Shs 9,990,000) was transferred within shareholders' equity from revaluation reserves to retained earnings. This represents deferred income tax on the difference between the actual depreciation on buildings and the equivalent depreciation based on the historical cost of the buildings.

Notes to the Financial Statements

CONTINUED

18 Property, plant and equipment - Group and Company

	Land & buildings Shs'000	Plant & machinery Shs'000	Vehicles & equipment Shs'000	Total Shs'000
At 1 January 2005				
Cost or valuation	1,799,284	2,926,847	657,243	5,383,374
Accumulated depreciation	(178,770)	(1,275,340)	(408,659)	(1,862,769)
Net book amount	1,620,514	1,651,507	248,584	3,520,605
Year ended 31 December 2005				
Opening net book amount	1,620,514	1,651,507	248,584	3,520,605
Additions	40,610	447,497	94,991	583,098
Disposals and asset write down	(7,769)	(52,982)	(32,784)	(93,535)
Depreciation charge	(48,135)	(185,064)	(78,584)	(311,783)
Closing net book amount	1,605,220	1,860,958	232,207	3,698,385
At 31 December 2005				
Cost or valuation	1,831,537	3,132,208	567,929	5,531,674
Accumulated depreciation	(226,317)	(1,271,250)	(335,722)	(1,833,289)
Net book amount	1,605,220	1,860,958	232,207	3,698,385
Year ended 31 December 2006				
Opening net book amount	1,605,220	1,860,958	232,207	3,698,385
Reclassification	-	(18,462)	18,462	-
Additions	36,895	502,044	51,417	590,356
Disposals	(1,396)	-	(2,571)	(3,967)
Depreciation charge	(49,219)	(172,927)	(90,443)	(312,589)
Closing net book amount	1,591,500	2,171,613	209,072	3,972,185
At 31 December 2006				
Cost or valuation	1,867,040	3,651,010	501,888	6,019,938
Accumulated depreciation	(275,540)	(1,479,397)	(292,816)	(2,047,753)
Net book amount	1,591,500	2,171,613	209,072	3,972,185

Notes to the Financial Statements

CONTINUED

18 Property, plant and equipment (continued)

Freehold land and buildings were revalued at 31 December 2002, by external professional valuers, on the following basis:
i) open market value for land and residential properties in major urban areas; and
ii) net current replacement cost on existing use basis for all other properties.

The book values of revalued assets were adjusted to revaluations and the resultant surplus, net of deferred income tax, was credited to revaluation surplus in shareholders' equity.

In the opinion of the directors, there is no impairment of property, plant and equipment.

If the land and buildings were stated on the historical cost basis, the amounts would be as follows:

	2006 Shs'000	2005 Shs'000
Cost	679,187	648,418
Accumulated depreciation	(139,851)	(123,932)
Net book amount	539,336	524,486

19 Intangible assets - Group and Company

	2006 Shs'000	2005 Shs'000
Year ended 31 December 2006		
Opening net book amount	-	-
Additions	242,945	-
Amortisation	(5,061)	-
Closing net book amount	237,884	-
At 31 December 2006		
Cost	242,945	-
Accumulated amortisation	(5,061)	-
Net book amount	237,884	-

This represents the acquisition and implementation of a new enterprise resource planning tool (SAP).

20 Prepaid operating lease rentals - Group and Company

	2006 Shs'000	2005 Shs'000
At start of year	211	215
Amortisation for the year	(3)	(4)
At end of year	208	211

Notes to the Financial Statements

CONTINUED

21 Inventories – Group and Company

	Group		Company	
	2006 Shs'000	2005 Shs'000	2006 Shs'000	2005 Shs'000
Finished goods	193,372	108,092	158,072	108,092
Work in progress	2,794	9,054	2,794	9,054
Raw materials and consumables	1,597,311	1,356,921	1,597,311	1,356,921
	1,793,477	1,474,067	1,758,177	1,474,067

22 Receivables and prepayments

	Group		Company	
	2006 Shs'000	2005 Shs'000	2006 Shs'000	2005 Shs'000
Trade receivables	120,208	83,478	9,125	-
Less; Provision for impairment	(4,534)	(40,962)	-	-
Prepayments and other receivables	311,704	362,546	470,131	364,747
Due from related companies (Note 29)	768,288	414,463	768,288	413,905
	1,195,666	819,525	1,247,544	778,652

23 Payables and accrued expenses

	Group		Company	
	2006 Shs'000	2005 Shs'000	2006 Shs'000	2005 Shs'000
Trade payables	533,218	126,575	516,877	126,575
Due to related companies (Note 29)	673,824	279,120	663,365	265,617
Other payables and accrued expenses	692,211	518,450	588,790	345,650
	1,899,253	924,145	1,769,032	737,842

24 Other provisions for liabilities and charges

	Group Shs'000	Company Shs'000
1 January 2005	594,760	579,501
Provided in respect of the year	151,050	112,820
Utilised during the year	(119,986)	(104,727)
Unutilised and reversed during the year	(156,015)	(156,015)
31 December 2005	469,809	431,579
1 January 2006	469,809	431,579
Provided in respect of the year	140,759	120,489
Utilised during the year	(97,950)	(59,720)
Unutilised and reversed during the year	-	-
31 December 2006	512,618	492,348

Provisions comprise balances set up in ordinary course of business and are related to general liabilities to various stakeholders.

Notes to the Financial Statements

CONTINUED

25 Borrowings

	Group		Company	
	2006 Shs'000	2005 Shs'000	2006 Shs'000	2005 Shs'000
Bank overdrafts	108,726	207,770	101,923	207,770
Bank borrowings	300,000	-	300,000	-
	408,726	207,770	401,923	207,770

The weighted average effective interest rate on bank borrowings was 6.5% at the year end. Bank borrowings are unsecured.

In the opinion of the directors, the carrying amounts of short-term borrowings approximate to their fair value. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the Group at the balance sheet date.

Borrowing facilities:

The Group has the following undrawn committed borrowing facilities:

	2006 Shs'000	2005 Shs'000
Floating rate, expiring within one year	2,650,000	3,130,000

The facilities are subject to renewal review at various dates during the year.

26 Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, deposits held at call with banks net of bank overdrafts. The year-end cash and cash equivalents comprise the following:

	2006 Shs'000	2005 Shs'000
Cash at bank and in hand	454,425	254,253
Short-term bank deposits	39,537	-
Cash and bank balances	493,962	254,253
Bank overdrafts (Note 25)	(108,726)	(207,770)
Bank borrowings (Note 25)	(300,000)	-
Borrowings (Note 25)	408,726	207,770
Net cash and cash equivalents	85,236	46,483

The weighted average effective interest rate on short-term bank deposits during the year was 3% (2005: 7.6%).

27 Contingent liabilities

At 31 December 2006, the Group had given guarantees amounting to Shs 124 million (2005: Shs 148 million) on behalf of third parties. It is not anticipated that any material liability will arise from these guarantees.

The Group is a defendant in various legal actions. In the opinion of the directors, the resolution of these legal proceedings would not likely have a material effect on its operations.

Notes to the Financial Statements

CONTINUED

28 Cash generated from operations

Reconciliation of profit before taxation to cash generated from operations:

	2006 Shs'000	2005 Shs'000
Profit before tax	1,746,526	2,008,971
Adjustments for;		
Depreciation of property, plant and equipment (Note 18)	312,589	311,783
Amortisation of intangible assets (Note 19)	5,061	-
Amortisation of prepaid operating lease rentals (Note 20)	3	4
Profit on disposal of property, plant and equipment	(4,741)	(15,412)
Asset write down	-	85,765
Interest income (Note 10)	(1,076)	(2,451)
Interest expense (Note 10)	39,379	15,996
Changes in working capital;		
- receivables and prepayments	(376,141)	72,006
- inventories	(319,410)	(36,945)
- payables and accrued expenses	975,108	(41,949)
- other provisions for liabilities and charges	42,809	(124,951)
Change in retirement benefits obligation (Note 16)	(7,211)	7,214
Cash generated from operations	2,412,896	2,280,031

29 Related party disclosures

The ultimate parent and controlling party of the Group is British American Tobacco plc, incorporated in England and Wales. There are other companies that are related to British American Tobacco Kenya Limited through common shareholding or common directorships.

The following transactions were carried out with related parties:

(i) Purchase of technical services

The company receives technical and administrative support from the parent company in areas such as marketing, management training, and research and development. Technical and advisory fees payable to the parent company in respect of these services in the year was Shs 295,312,000 (2005: Shs 185,485,000).

The company pays royalties to related parties for certain cigarette trademarks that are owned by those parties. The royalties are payable at a rate of 5% of the net turnover of the qualifying brands. Total royalties payable in the year were Shs 68,723,000 (2005: Shs 64,340,000).

(ii) Sale of goods and services

The Company manufactures cigarettes under contract, sells processed tobacco and processes green leaf for related companies. The revenue arising from these transactions in the year was Shs 2,141,191,000 (2005: Shs 1,279,000,000).

Notes to the Financial Statements

CONTINUED

29 Related party disclosures (continued)

(iii) Outstanding balances arising from sale and purchase of goods and services

	2006 Shs'000	2005 Shs'000
Receivables from other related parties	768,288	414,463
Payables to parent company	347,878	65,899
Payables to other Group companies	325,946	213,221
Payables to related parties	673,824	279,120

(iv) Key management compensation

	2006 Shs'000	2005 Shs'000
Salaries	116,798	87,481
Allowances and other benefits	40,879	38,868
Total remuneration of key management of the Company	157,677	126,349

(v) Directors' remuneration

	2006 Shs'000	2005 Shs'000
Fees for services as a director	9,841	7,319
Other emoluments (included in key management compensation above)	78,281	75,766
Total remuneration of directors of the Company	88,122	83,085

30 Investment in subsidiaries

	2006 Shs'000	2005 Shs'000
Shares at cost	12,000	12,000

The details of the subsidiary companies, all of which are incorporated in Kenya, are unlisted, have the same year end as the Company and are wholly-owned by the Company, are as follows:

Name of subsidiary	Principal activity
BAT Kenya Tobacco Company Limited	Selling of cigarettes
African Cigarette Company (Overseas) Limited	Dormant
East African Tobacco Company Kenya Limited	Dormant

31 Capital commitments

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

	2006 Shs'000	2005 Shs'000
Property, plant and equipment	189,030	808,054

Proxy Form

FORM OF PROXY

To:

The Secretary,
British American Tobacco Kenya Limited,
P.O. Box 30000-00100,
Nairobi

I/We _____

_____ of P.O. Box _____
member/members of British American Tobacco Kenya Limited appoint

or failing him, the Chairman of the Meeting as my/our proxy, to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on Thursday, 3rd May 2007 in the Ballroom, Hotel Inter-Continental Nairobi, or at any adjournment thereof.

As witness my/our hand/s this _____

day of _____ 2007

(Signature)

NOTES:

1. If a member is unable to attend this meeting personally, this Form of Proxy should be completed and returned to reach the Company's Registered Office not later than 2.30 p.m. on Wednesday, 2nd May 2007.
2. A person appointed to act as a proxy need not be a member of the Company.
3. If the appointer is a corporation, this Form of Proxy must be under its Common Seal or under the hand of the officer or attorney duly authorised in that behalf.



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